



INSURANCE AND PENSIONS COMMISSION (IPEC)



SHORT TERM (NON-LIFE) INSURANCE REPORT

FOR THE QUARTER ENDED 30 SEPTEMBER 2015

Table of Contents

List of Figures	4
Executive Summary	6
1. Architecture of the Non-Life Insurance Industry.....	7
SECTION A.....	8
2. SHORT-TERM (NON-LIFE) INSURANCE COMPANIES.....	8
2.1. Performance in Terms of Business Written	9
2.2. Capitalization	11
2.3. Asset Quality.....	13
2.4. Reinsurance	14
2.5. Actuarial Matters	16
2.6. Earnings	17
2.7. Liquidity	18
2.8. Market Share for Non-life Insurers.....	19
SECTION B	21
3. REINSURANCE COMPANIES	21
3.1. Performance in Terms of Business Written	22
3.2. Capitalization	24
3.3. Asset Quality.....	25
3.4. Retrocession	27
3.5. Actuarial Matters	28
3.6. Earnings	29
3.7. Liquidity	30
3.8. Market Share for Reinsurers	31
SECTION C	33
4. INSURANCE BROKERS.....	33
4.1 Business Written	34
4.2 Capitalization	35
4.3 Asset Quality.....	36

4.4 Earnings	37
4.5 Market Share for Insurance Brokers.....	37
SECTION D.....	39
5. REINSURANCE BROKERS.....	39
5.1 Business Written	40
5.2 Capitalization	40
5.3 Asset Quality.....	41
5.4 Earnings for Reinsurance Brokers.....	41
5.5 Market Share for Reinsurance Brokers	41
SECTION E	43
6. APPENDICES.....	43

List of Figures

Figure 1: Trend in Business Written for the Nine Months Ended 30 September Since 2010.....	9
Figure 2: Distribution of Insurers' Gross Premium Written by Business Class.....	11
Figure 3: Trend in Total Assets	13
Figure 4: Distribution Non-life Insurers' Total Assets	14
Figure 5: Retention Ratios for Short Term Insurance Companies	15
Figure 6: Non-life Insurers' Average Retention Ratios for Different Classes of Business.....	15
Figure 7: Market Share for Insurers in Terms of GPW and NPW	19
Figure 8: Market Share for Insurers in Terms of Total Assets	20
Figure 9: Trend in Business Written for the Nine Months Ended 30 September Since 2010.....	22
Figure 10: Distribution of Reinsurers' GPW by Business Class.....	24
Figure 11: Trend in Total Assets.....	25
Figure 12: Breakdown of Non-life Reinsurers' Total Assets.....	26
Figure 13: Retention Ratios for Reinsurers	27
Figure 14: Retention Ratios by Class of Insurance Business	28
Figure 15: Market Share for Reinsurers in Terms of GPW and NPW	31
Figure 16: Market Share for Reinsurers in Terms of Total Assets	32
Figure 17: Distribution of Insurance Brokers' Gross Premium Written by Business Class	35
Figure 18: Distribution of Insurance Brokers' Total Assets	37
Figure 19: Market Share in Terms of Net Brokerage Income and Premium Written.....	38
Figure 20: Market Share for Insurance Brokers in Terms of Total Assets.....	38

List of Tables

Table 1: Architecture of the Non-life Insurance Industry	7
Table 2: Non-life Insurers' Gross Premium Written by Class of Business.....	10
Table 3: Reported Capital Positions for Non-life Insurers.....	12
Table 4: Loss Ratios by Class of Business for Short Term Insurers	18
Table 5: Reinsurers' Gross Premium Written by Class of Business	23
Table 6: Capital Positions for Non-life Reinsurers	25
Table 7: Loss Ratios by Class of Business for Reinsurers.....	30
Table 8: Indicators of Business Written for Insurance Brokers	34
Table 9: Reported Capital Levels for Insurance Brokers	35
Table 10: Indicators of Business Written for Reinsurance Brokers	40
Table 11: Capital Levels for Reinsurance Brokers.....	41
Table 12: Market Share for Reinsurance Brokers	42

List of Acronyms and Abbreviations

DAC	-	Deferred Acquisition Cost
GPW	—	Gross Premium Written
IBNR	—	Incurred But Not Reported
IPEC/Commission	—	Insurance and Pensions Commission
NEP	—	Net Earned Premium
NPW	—	Net Premium Written
O/S Claims	-	Outstanding Claims
ROA	-	Return on Assets
ROE	—	Return on Equity
UCR	-	Unearned Commission Reserve
UPR	—	Unearned Premium Reserve

Note: Unless stated otherwise, all monetary figures are in United States Dollars.

Executive Summary

The Commission is pleased to present the 2015 third quarter non-life insurance report which details the performance and developments that took place in the non-life insurance sector during the period ended 30 September 2015. The number of registered players, including insurance agents, was 597 as at 30 September 2015 compared to 591 that was reported as at 30 June 2015. Total gross premium written by non-life insurers increased marginally from \$153.20 million for the nine months ended 30 September 2014 to \$153.60 million for the nine months ended 30 September 2015. Out of this total premium, \$69.96 million was generated through insurance brokers. On the other hand, non-life reinsurers generated business with total premium amounting to \$83.87 million for the nine months ended 30 September 2015, which compared favourably with \$80.02 million that was reported in the comparative period in 2014. Out of this total premium, \$51.76 million was generated through reinsurance brokers. Motor and fire insurance remained the dominant classes of insurance in the non-life insurance sector. All underwriters except two (2) non-life insurers were compliant with the regulatory minimum capital requirement of \$1.5 million as at 30 September 2015. Total assets for the non-life insurance sector amounted to \$343.60 million as at 30 September 2015 compared to \$348.07 million that was reported as at 30 June 2015. The industry average prescribed asset ratios for non-life insurers and reinsurers were 4.37% and 6.51% as at 30 September 2015 reflecting a marked improvement from 1.27% and 5.15% respectively as at 30 June 2015. Notwithstanding the improvement, only three (3) direct non-life insurers and five (5) reinsurers were compliant with the minimum prescribed asset ratio of 5% as at 30 September 2015. Total profit after tax for non-life insurers decreased significantly from \$8.79 million for the nine months ended 30 September 2014 to \$3.65 million for the period under review. The decrease in total profit after tax mainly emanated from an upsurge in unrealized losses in investments and an increase in net incurred claims which amounted to \$3.52 million and \$3.38 million respectively. On the other hand, total profit after tax for non-life reinsurers increased from \$1.39 million for the nine months ended 30 September 2014 to \$3.56 million for the period under review. The increase in total profit after tax was on the back of growing business volumes coupled with decreasing net claims incurred.

1. Architecture of the Non-Life Insurance Industry

The non-life insurance industry had a total of five hundred and ninety seven (597) registered players in different categories as at 30 September 2015. A detailed breakdown is shown in Table 1 below.

Table 1: Architecture of the Non-life Insurance Industry

Type of Institution	Number of Registered Entities			Number of Suspended/ Non-Operating Entities
	31 Mar 15	30 Jun 15	30 Sep 15	30 Sep 15
Insurance Companies	24	24	24	3
Reinsurance Companies	9	9	9	1
Insurance Brokers	32	32	32	3
Reinsurance Brokers	5	5	6	-
Loss Assessors	21	21	22	-
Corporate Agents	115	118	122	-
Sole Agents	379	382	382	-
Total	585	591	597	7

The three insurance companies that were suspended from initiating and renewing business are Excellence Insurance Company, Global Insurance Company and KMFS Insurance Company. On the other hand New Reinsurance Company of Harare was the only reinsurer that was under suspension as at 30 September 2015. The suspension was effected after the Commission deemed the institutions to be inadequately capitalized.

Out of the registered insurance brokers, Excel Risk Solutions, Navistar Insurance Brokers, and Revival Insurance brokers were not operational as at 30 September 2015. At the time of finalizing this report i.e. post 30 September 2015, the Commission had deregistered Excel Risk Solutions owing to failure by the institution to regularize issues raised in the preopening inspection coupled with the surrender of the licence. On the other hand the Commission authorized Marsh Insurance Brokers Zimbabwe to commence reinsurance broking during the quarter under review.

SECTION A

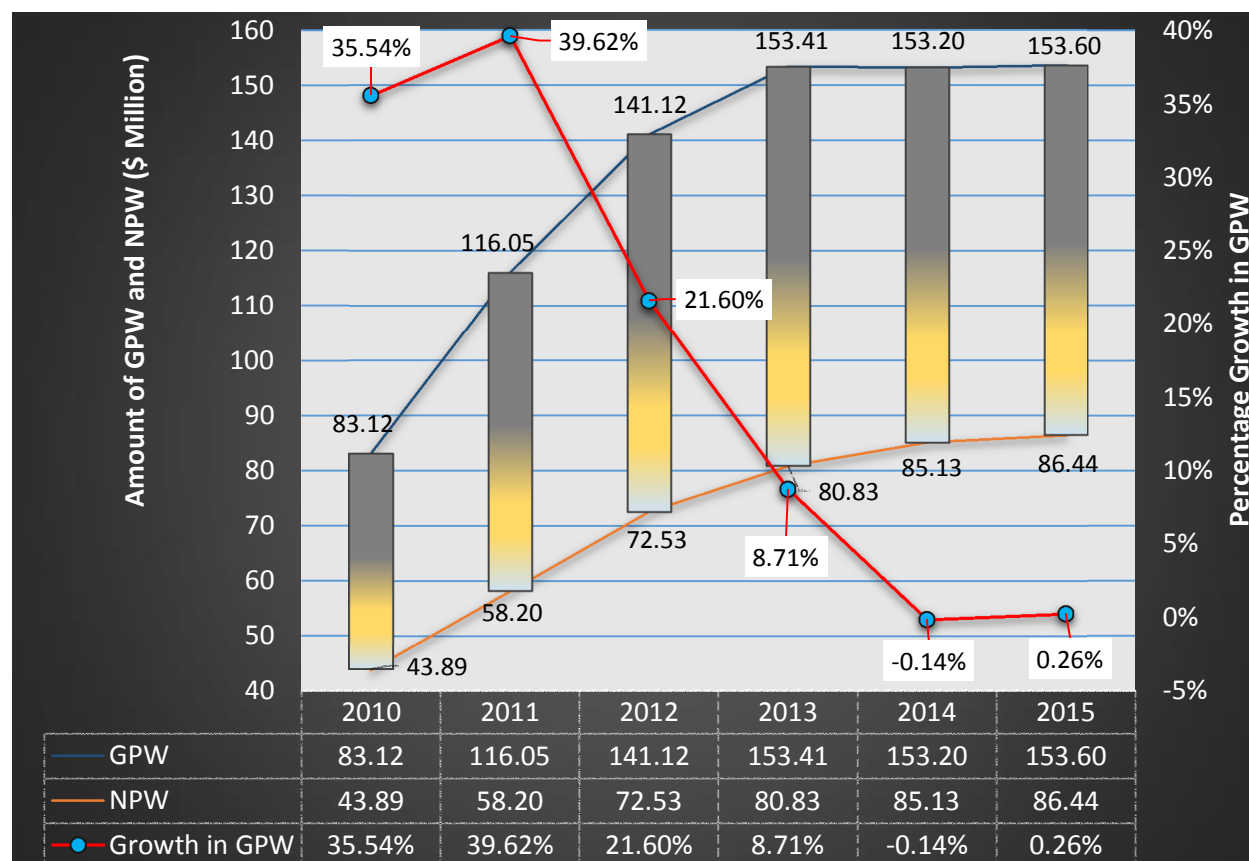
2. SHORT-TERM (NON-LIFE) INSURANCE COMPANIES

Please note that the analysis of performance of the non-life insurance sector does not include statistics for companies which are under suspension. Appendix 1A-C has detailed statistics for the non-life insurers.

2.1. Performance in Terms of Business Written

The volume of business written by non-life insurers remained largely unchanged with a negligible increase of 0.26% growth in total Gross Premium Written (GPW) from \$153.2 million reported for the nine months ended 30 September 2014 to \$153.6 million for the nine months period ended 30 September 2015. The negligible growth in business volumes can be attributed to the harsh economic challenges currently being experienced by the market. The volume of business in the nine months ended 30 September was generally on an upward trend from 2009 to 2013 before levelling off in 2014 and 2015 as shown in Figure 1 below. The same trend was also observed on the volume of business retained by insurers as depicted by Net Premium Written (NPW) in the diagram below.

Figure 1: Trend in Business Written for the Nine Months Ended 30 September Since 2010



Miscellaneous accident and marine insurance recorded the highest percentage growth rates during the period under review compared to other business classes. Table 2 below shows the growth recorded in all different classes during the period under review.

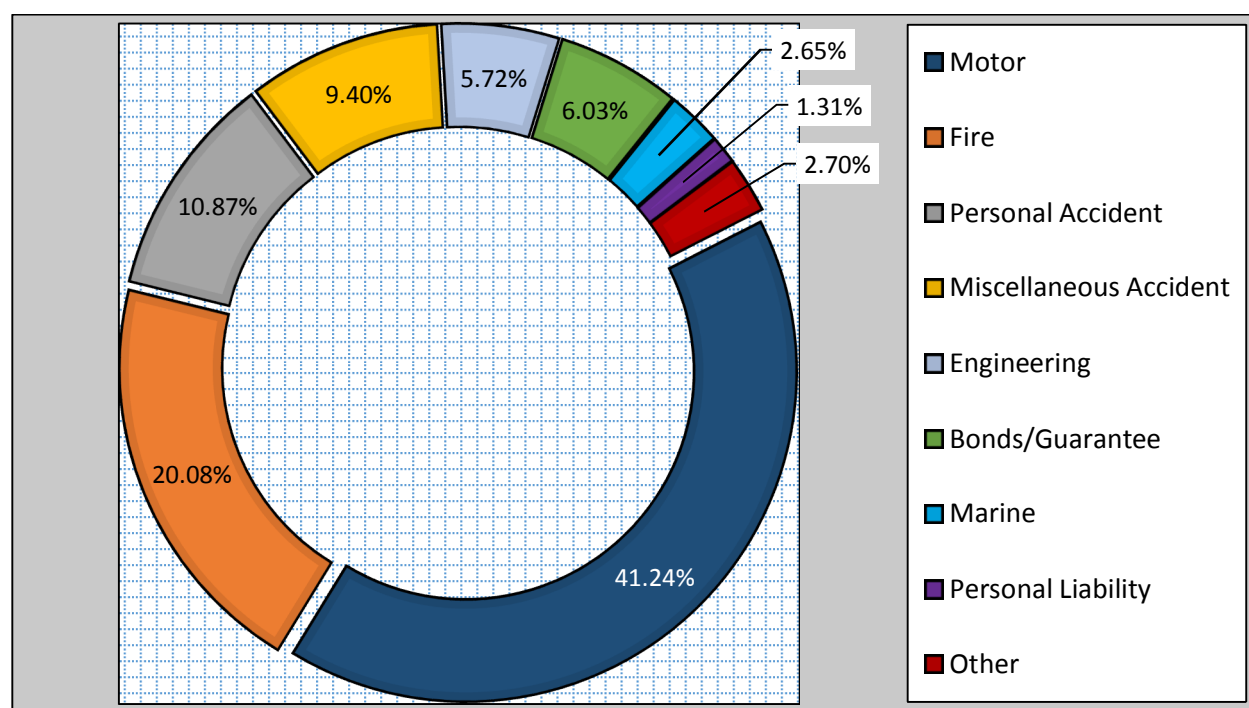
Table 2: Non-life Insurers' Gross Premium Written by Class of Business

Class of Business	Gross Premium Written (\$)		Percentage Change
	30 Sep 2014	30 Sep 2015	
Aviation	1,552,699	1,743,661	12.30%
Bonds/Guarantee	8,148,555	9,262,092	13.67%
Engineering	8,734,559	8,792,719	0.67%
Farming	2,043,803	747,434	-63.43%
Fire	32,454,753	30,837,573	-4.98%
Hail	75,300	-	-100.00%
Health*	349,708	188,421	-46.12%
Credit/Hire Purchase	1,249,065	1,333,877	6.79%
Marine	3,555,033	4,063,829	14.31%
Miscellaneous Accident	9,336,101	14,442,994	54.70%
Motor	65,395,216	63,349,096	-3.13%
Personal Accident	18,235,488	16,690,288	-8.47%
Personal Liability	2,071,074	2,014,374	-2.74%
Total	153,201,354	153,600,660	0.26%

**These figures do not include business from Medical Aid Societies, which are regulated by the Ministry of Health and Child Welfare.*

The business generated by non-life insurers remained mainly skewed towards motor, fire and accident insurance with the three business classes accounting for a total of 81.59% of total gross premium written during the nine months ended 30 September 2015. The distribution of total gross premium written by non-life insurers during the period under review, across different lines of business is as shown in Figure 2 below.

Figure 2: Distribution of Insurers' Gross Premium Written by Business Class



2.2. Capitalization

All trading non-life insurers, except Quality Insurance Company and Tristar Insurance Company, reported capital positions which were compliant with the minimum capital requirement of \$1.5 million as at 30 September 2015. Table 3 below shows the capital positions reported by all operational non-life insurers. Insurance companies' compliance to minimum capital requirements will be assessed using the provisions of Circular 1 of 2014 with effect from 1 January 2016. Insurers should therefore conduct self-assessments and take necessary measures to ensure compliance.

The industry average solvency margin for direct non-life insurers decreased marginally from 65.25% as at 30 June 2015 to 65.22% as at 30 September 2015. Out of all the operating insurance companies, only Tristar Insurance Company, reported a solvency margin which was below the prudential minimum of 25% as at 30 September 2015. This implies that Tristar Insurance Company may have retained more business than can be sustained by its financial position. Such a situation may result in failure by the insurer to settle insurance claims in full timeously. See appendix 1C for solvency margins of each insurance company

Table 3: Reported Capital Positions for Non-life Insurers

Name of Insurance Company	Reported Capital Position (\$)			
	31-Dec-14	31-Mar-15	30-Jun-15	30-Sep-15
1. Alliance Insurance Company	4,485,839	4,746,936	5,024,055	4,964,481
2. Allied Insurance Company	1,723,713	1,704,201	1,742,192	1,681,491
3. C.B.Z Insurance Company	2,127,248	3,288,131	3,640,069	3,965,527
4. Cell Insurance Company	394,480	783,453	850,638	1,543,467
5. Champions Insurance Company	1,900,067	2,240,178	2,416,845	2,276,228
6. Clarion Insurance Company	1,611,807	1,440,340	1,792,888	1,556,020
7. Credit Insurance Zimbabwe	2,678,341	2,594,571	2,383,021	2,289,573
8. Eagle Insurance Company	4,664,093	4,847,408	5,080,612	3,297,739
9. Evolution Insurance Company	1,526,129	1,588,426	1,668,492	1,650,819
10. ECGC	-	-	-	2,246,894
11. Hamilton Insurance Company	2,152,955	2,178,038	2,203,848	2,315,205
12. Heritage Insurance Company	2,119,418	3,748,145	2,404,976	2,206,125
13. Nicoz Diamond Insurance Company	10,822,503	11,212,000	10,898,000	10,914,000
14. Old Mutual Insurance Company	14,433,261	16,134,014	16,393,889	18,009,265
15. Quality Insurance Company	1,500,000	1,503,000	1,327,000	1,178,000
16. Regal Insurance Company	2,857,897	2,948,221	2,979,842	2,752,143
17. Safel Insurance Company	1,607,434	1,714,647	1,736,989	1,645,492
18. Sanctuary Insurance Company	1,653,567	1,574,985	1,806,175	1,726,699
19. THI Insurance (Pvt) Ltd	4,832,078	4,513,792	3,931,315	1,781,034
20. Tristar Insurance Company	1,533,628	1,575,593	1,032,741	734,056
21. Zimnat Lion Insurance Company	4,713,426	5,291,623	5,237,314	5,330,414

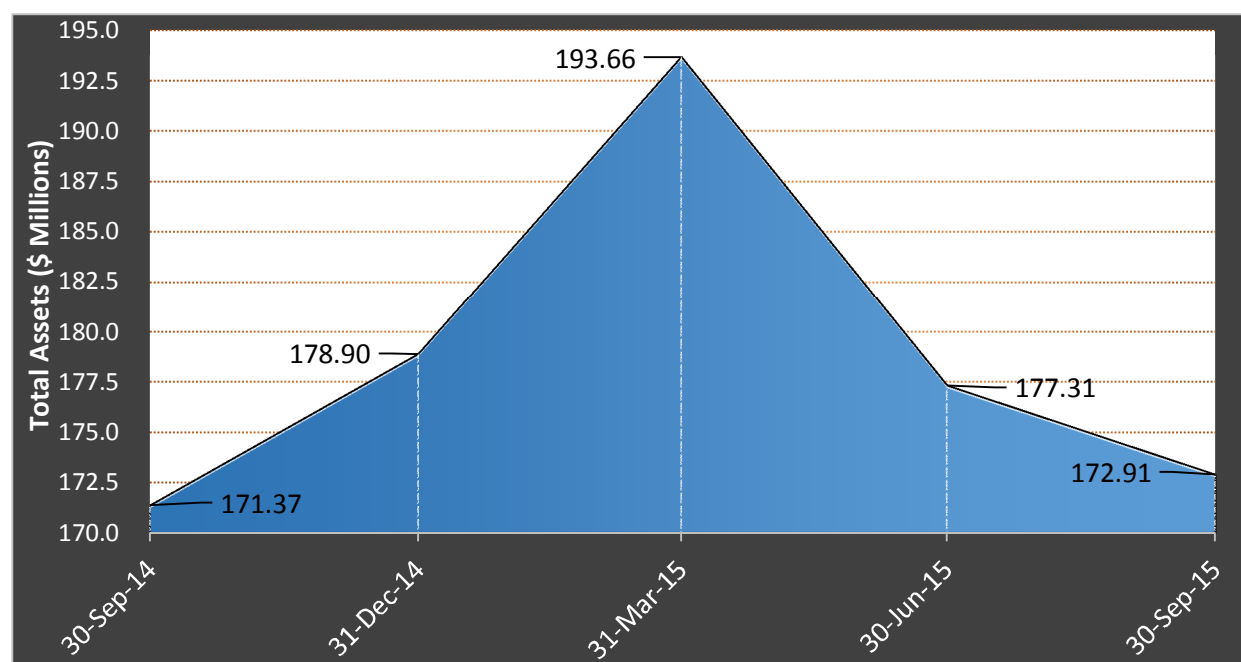
Key:

	The insurer reported a capital position that was compliant with the minimum capital requirement of \$1.5 million for non-life insurers.
	The insurer reported a capital position which was not compliant with the minimum capital requirement of \$1.5 million.

2.3. Asset Quality

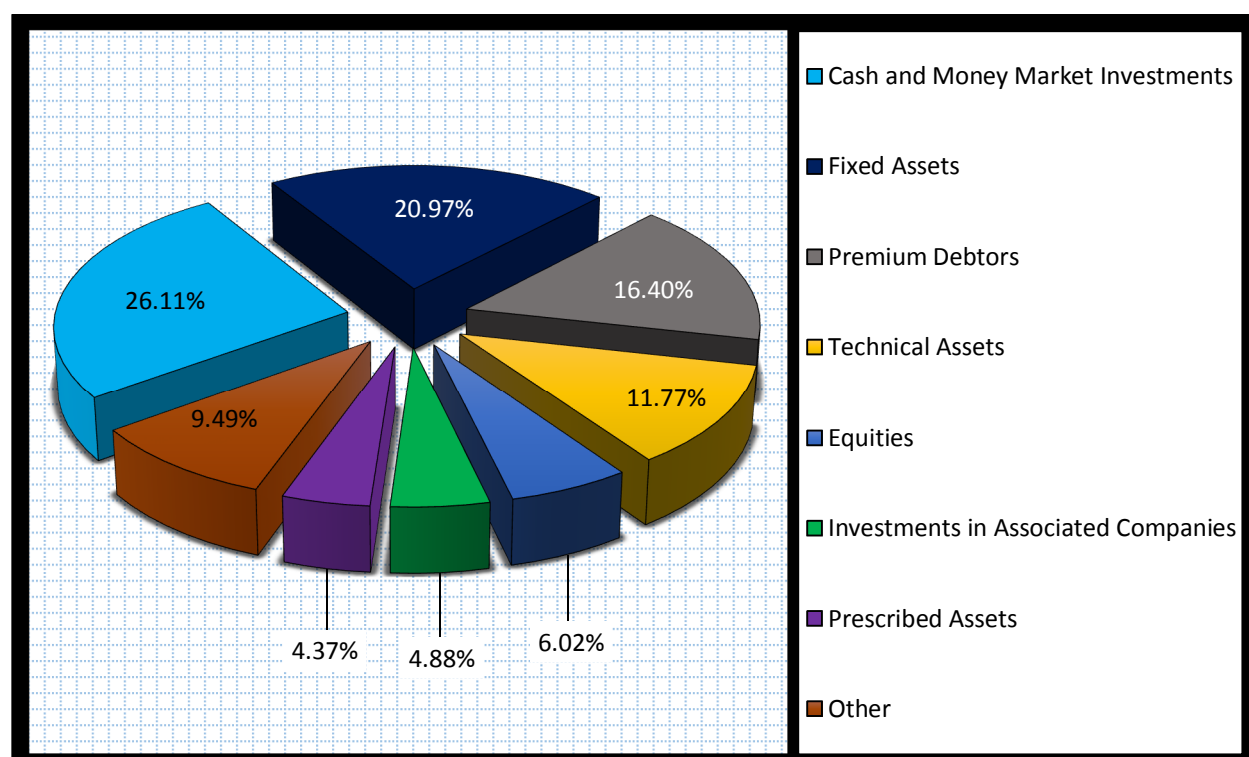
Total assets for non-life insurers decreased by 2.58% from \$177.31 million as at 30 June 2015 to \$172.91 as at 30 September 2015. The decrease in total assets was mainly attributable to shrinkages in premium receivables as well as long term investments amounting to \$8.18 million and \$2.70 million respectively. As shown in Figure 3 below the decreasing trend in total assets was witnessed as from 30 June 2015. The decrease in total assets, with effect from the second quarter is in sync with the annual cyclical trend that has been observed over the years since 2009. Figure 3 below shows the trend in assets.

Figure 3: Trend in Total Assets



Total assets for non-life insurers as at 30 September 2015 were mainly made up of cash and money market investments, fixed assets and premium debtors which accounted for a total of 63.48% of the total asset base. The asset mix shown in Figure 4 whereby illiquid assets such as fixed assets, investments in associated companies and premium debtors accounted for a total of 42.25% is not in sync with the short term nature of non-life insurance liabilities which should generally be backed by liquid assets. Against this background, insurers are therefore urged to allocate more resources towards more liquid asset classes. The said allocation will also help in ensuring compliance with Circular 2 of 2013 which becomes effective on 1 January 2016.

Figure 4: Distribution Non-life Insurers' Total Assets



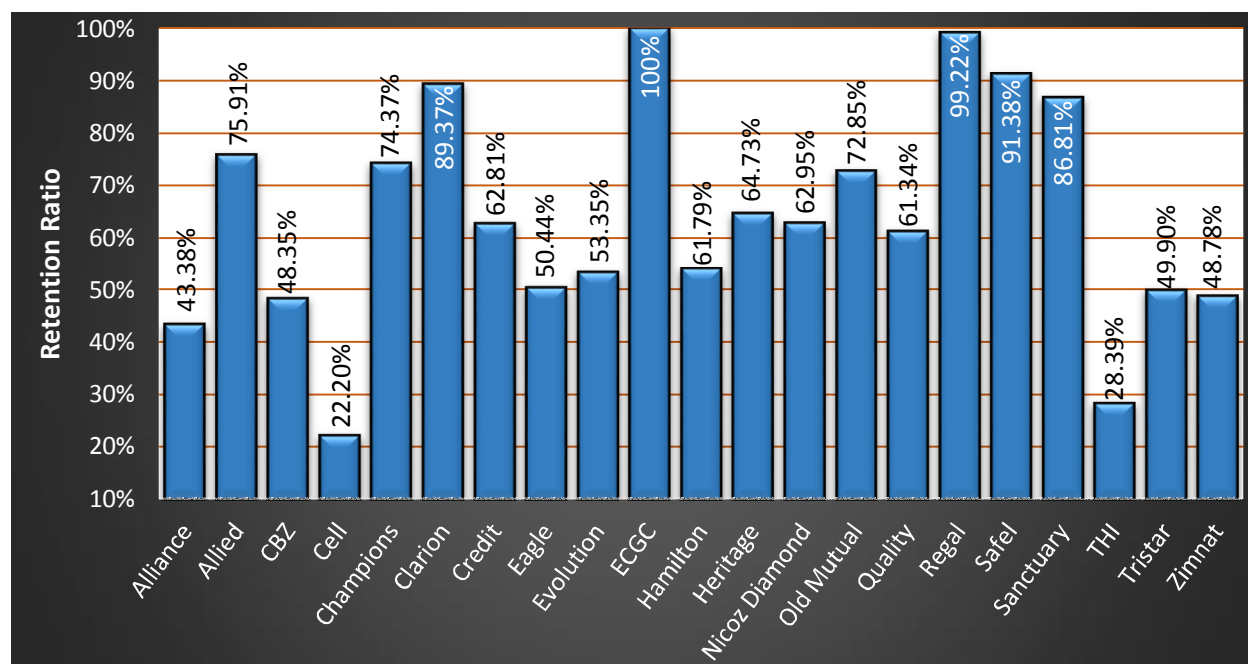
NB: Technical assets refer to reinsurers' share of outstanding claims and deferred acquisition cost.

The non-life insurance industry average prescribed asset ratio increased significantly from 1.27% as at 30 June 2015 to 4.37% as at 30 September 2015. All non-life insurers, except CBZ Insurance Company, Eagle Insurance Company and Export Credit Guarantee Corporation, remained non-compliant with the minimum required prescribed assets ratio of 5%. A total of eight (8) insurers did not have any form of investments in prescribed assets and the Commission will be taking necessary regulatory action on the same.

2.4. Reinsurance

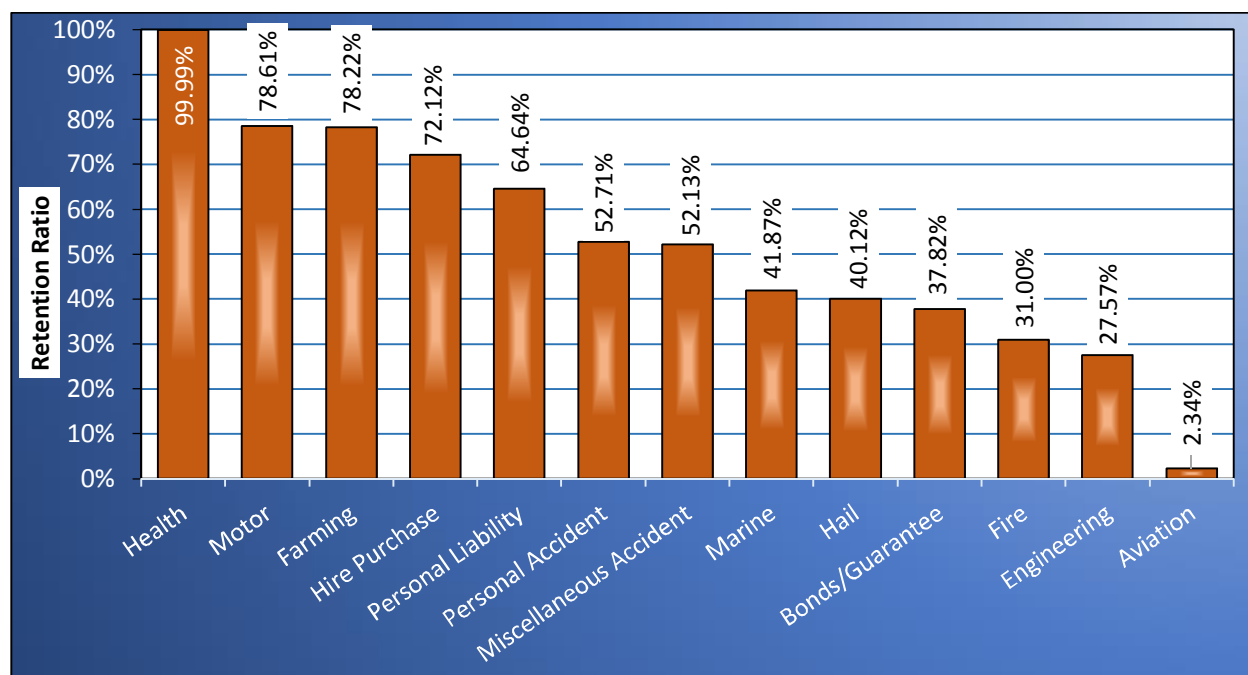
Non-life insurers reported an industry average retention ratio of 56.28% for the nine months ended 30 September 2015 reflecting a marginal increase from 55.57% which was reported in the comparative period in 2014. This indicates that there were no significant changes in the risk appetite of non-life insurers. The retention ratio for individual insurers for the period under review ranged from 22.20% to 100% as shown in Figure 5 below.

Figure 5: Retention Ratios for Short Term Insurance Companies



Non-life insurers exhibited highest risk appetite in health and motor insurance as evidenced by the retention ratios reported in those business classes compared to other lines of business as shown in Figure 6 below. On the other hand, aviation and engineering insurance remained the classes with the lowest retention ratios.

Figure 6: Non-life Insurers' Average Retention Ratios for Different Classes of Business



The Commission noted with comfort the improvement in reinsurance premium remittances during the nine months ended 30 September 2015. This is evidenced by the decrease in reinsurance creditors to reinsurance premium ratio from 35.27% for the nine months ended 30 September 2014 to 29.14% for the period under review. Although the industry average reinsurance creditors to creditors improved significantly, a total of four (4) insurers reported long outstanding reinsurance premium creditors dating back to before 1 January 2015. This is evidenced by the same insurers' reinsurance creditors to reinsurance premium ratios which were significantly above 100% (See appendix 1C). Failure to remit premiums to reinsurers may compromise the reinsurance arrangements put in place resulting in failure to settle claims.

2.5. Actuarial Matters

Total technical liabilities for non-life insurers continued on a downward trend and amounted to \$47.19 million as at 30 September 2015 reflecting a 16.97% decrease from \$56.83 million as at 30 June 2015. The decrease in total technical liabilities was mainly attributable to a total of \$9.43 million of previously unearned premiums that were earned during the quarter under review. The decrease is in line with the trend observed over the years especially with annual policies whose term coincide with the calendar year. The total technical liabilities were mainly made up of Unearned Premium Reserves (UPR) and Incurred But Not Reported claims (IBNR) which accounted for 59.26% and 24.86% of total reserves respectively. The balance was made up of net outstanding claims.

The assets which were considered suitable to match technical liabilities such as cash, money market investments including prescribed assets, and equities amounted to \$63.11 million as at 30 September 2015. This compared favourably to total technical liabilities of \$47.19 million mentioned above and translated into an industry average total investments to total reserves ratio of 133.75%. Notwithstanding the foregoing, some insurers reported investments to reserves ratios which were below 100% indicating that they may be having inadequate assets to match their liabilities. The ratio referred to above ranged from 22.23% to 2,076.12% (see Appendix 1C). The industry average investments to reserves ratio of 133.75% highlighted above indicates that the non-life insurance industry had a buffer above technical liabilities in terms of investments.

2.6. Earnings

Total profit after tax for non-life insurers decreased by 58.43% from \$8.79 million for the nine months ended 30 September 2014 to \$3.65 million for the comparative period in 2015. The decrease in total profit after tax mainly emanated from an upsurge in unrealized losses in investments and an increase in net incurred claims which amounted to \$3.52 million and \$3.38 million respectively. The increase in unrealized losses is mainly owing to the poor performance of the financial markets during the period under review. In line with the decrease in profit after tax, the industry average return on assets (ROA) and return on equity of (ROE) deteriorated from 5.13% and 11.74% for the nine months ended 30 September 2014 to 2.13% and 4.79% respectively, for the period under review. Notwithstanding the overall profit after tax reported by the sector as a whole, a total of seven (7) insurers reported losses during the period under review (see Appendix 1A and C).

The non-life insurance sector did not generate significant income from its investments to supplement income from the core business of underwriting. This is evidenced by the ratio of investment income to net premium income which was negative 0.72% for the period under review. The failure to generate adequate income to supplement underwriting income, compromised the sector's overall profitability given that underwriting profits were already being adversely affected mainly by significant increases in net incurred claims. As a result of the increased in net incurred claims, underwriting profits decreased from \$6.67 million for the nine months ended 30 September 2014 to \$4.74 million for the period under review.

Hire purchase and motor insurance remained the classes with the highest proportion of net earned premium devoted to settlement of claims and payment of commissions. This is evidenced by the two business classes' highest loss plus commission ratio of 80.13% and 61.47%.

Table 4 below shows the loss and commission ratios reported in different classes.

Table 4: Loss Ratios by Class of Business for Short Term Insurers

Business Class	Loss Ratio	Net Commission Ratio	Loss + Commission Ratio
Hire Purchase	57.58%	22.55%	80.13%
Motor	52.84%	8.63%	61.47%
Personal Accident	43.10%	11.20%	54.30%
Farming	33.30%	10.36%	43.66%
Personal Liability	29.94%	12.53%	42.47%
Fire	35.69%	3.21%	38.90%
Engineering	35.55%	-0.69%	34.86%
Hail	17.13%	14.65%	31.78%
Miscellaneous Accident	23.23%	8.10%	31.33%
Marine	4.18%	14.38%	18.56%
Bonds/Guarantees	2.78%	9.27%	12.05%
Health	8.94%	-0.15%	8.79%
Aviation	0.27%	-67.15%	-66.88%
Industry Average	43.33%	8.42%	51.75%

2.7. Liquidity

Total cash and near cash assets continued on a downward trend and amounted to \$52.70 million as at 30 September 2015, reflecting a 2.29% decrease from \$53.94 million that was reported as at 30 June 2015. The decrease in cash and near cash assets was mainly driven by the decline in money market investments. The concentration of the total liquid assets for the non-life insurance industry remained a concern with a total of 79.28% being attributable to only six (6) of the operating insurers as at 30 September 2015. The concentration is further exhibited by the fact that Old Mutual Insurance Company, alone accounted for a total of 37.98% of total liquid assets.

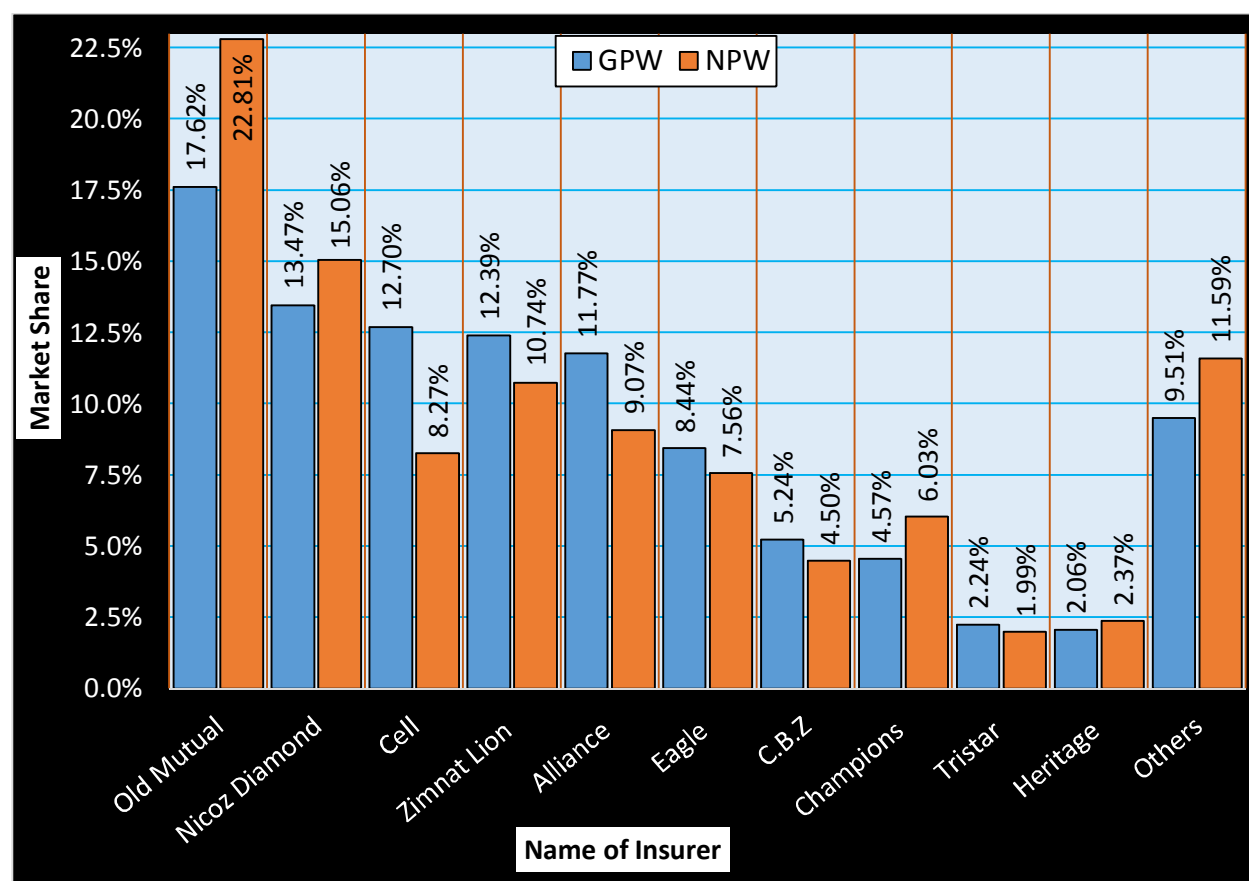
Although total cash and near cash assets decreased during the quarter under review, the amount of readily liquid assets available for all the current liabilities improved. This is evidenced by the increase in the industry average acid test ratio from 59.22% as at 30 June 2015 to 61.86% as at 30 September 2015.

Notwithstanding the improvement in the industry average acid test ratio, the same ratio was very low for some insurers indicating that these insurers are facing liquidity challenges. See Appendix 1C which shows that the acid test ratios for individual insurers ranged from 1.89% to 742.52% as at 30 September 2015.

2.8. Market Share for Non-life Insurers

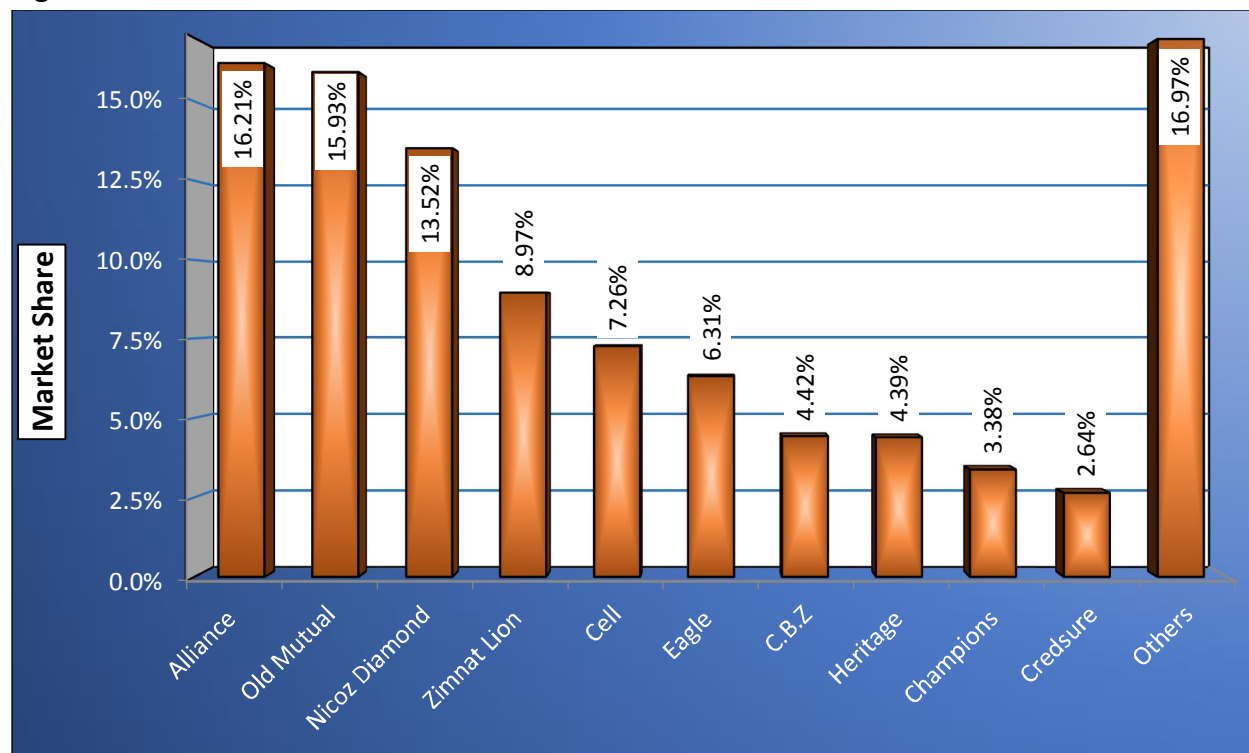
Based on market shares in terms of business generated for the nine months ended 30 September 2015, the Herfindahl Index recorded was 0.12 in terms of both Gross Premium Written (GPW) and Net Premium Written (NPW). This means that the non-life insurance sector was moderately concentrated. The market leaders in terms of business written remained Old Mutual Insurance Company, Nicoz Diamond Insurance Company and Cell Insurance Company and reported a combined market share of 43.72% in terms of GPW. Figure 7 below shows the market shares in terms of GPW and NPW.

Figure 7: Market Share for Insurers in Terms of GPW and NPW



In terms of total assets as at 30 September 2015, Alliance Insurance Company, Old Mutual Insurance Company and Nicoz Diamond Insurance Company were the market leaders. Figure 8 below shows the market shares in terms of total assets as at 30 September 2015. See Appendix 1C for market shares of insurance companies' referred to as others in Figure 7 and 8.

Figure 8: Market Share for Insurers in Terms of Total Assets



SECTION B

3. REINSURANCE COMPANIES

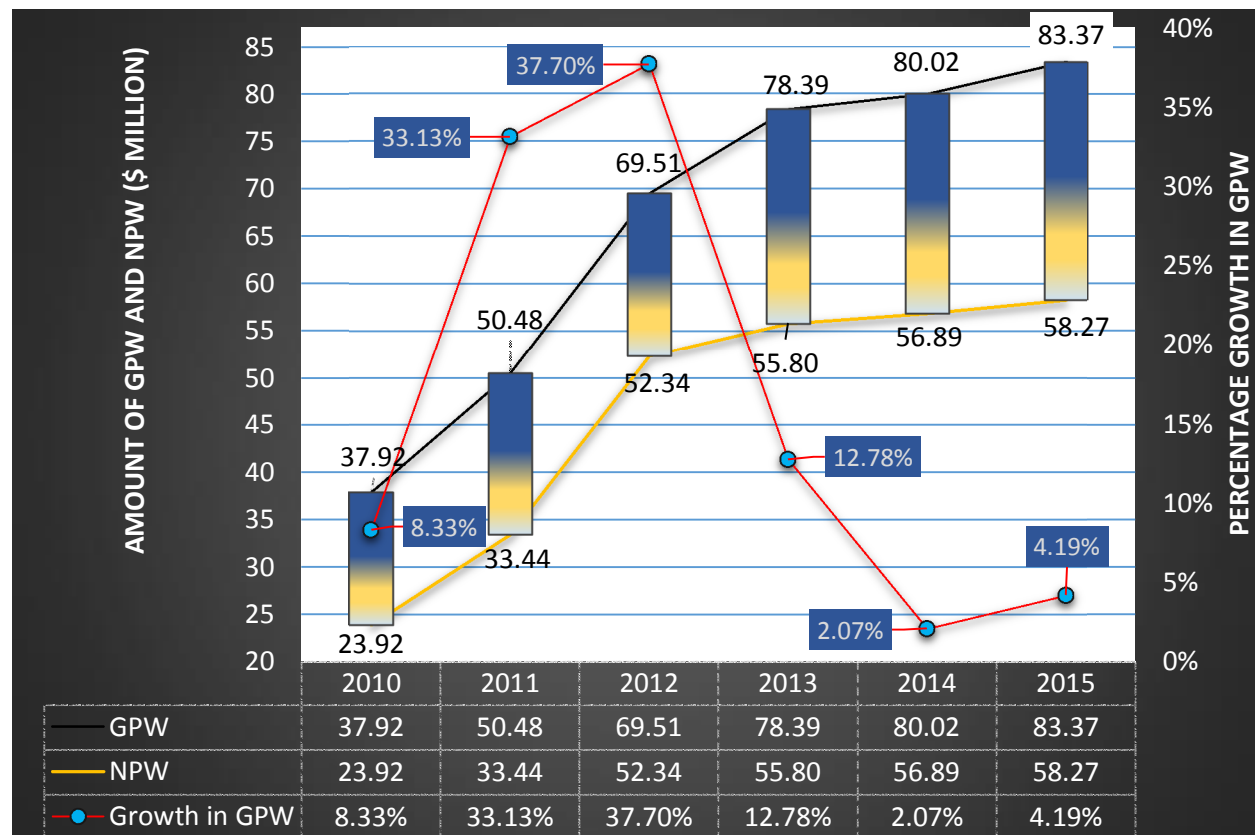
Please note that the figures for PTA Reinsurance Company (Zep-Re) contained in this report are only for the institution's Regional Hub Office located in Zimbabwe and not for the company as a whole. The Regional Hub Office writes business in Zimbabwe, Swaziland, Botswana, Namibia, and South Africa among others. PTA Reinsurance Company was formed under the auspices of COMESA and writes business in all COMESA member states. The Regional Hub Office is supported by the balance sheet of Zep-Re as a whole company. Detailed statistics for all reinsurers are shown in Appendix 2A-C.

3.1. Performance in Terms of Business Written

The volume of business written by non-life reinsurers during the nine months periods ended 30 September continued on an upward trend, albeit the depressed growth rates in 2014 and 2015 compared to 2010 to 2013 as shown in Figure 9 below. During the nine months period ended 30 September 2015, Gross Premium Written (GPW) by non-life reinsurers amounted to \$83.37 million reflecting a 4.19% increase from \$80.02 million reported for the comparative period in 2014. The increase in total GPW was mainly buoyed by the growth in business written in engineering insurance which increased by \$3.21 million as shown in Table 5 below.

Out of business written during the period under review, a total of \$10.66 million, which accounted for 12.78% of total GPW, was sourced from outside Zimbabwe implying that local insurers' capacity enable them to contribute to the export of insurance services. However, the business written by wholly owned subsidiaries of local reinsurers operating from outside Zimbabwe is not included herein.

Figure 9: Trend in Business Written for the Nine Months Ended 30 September Since 2010



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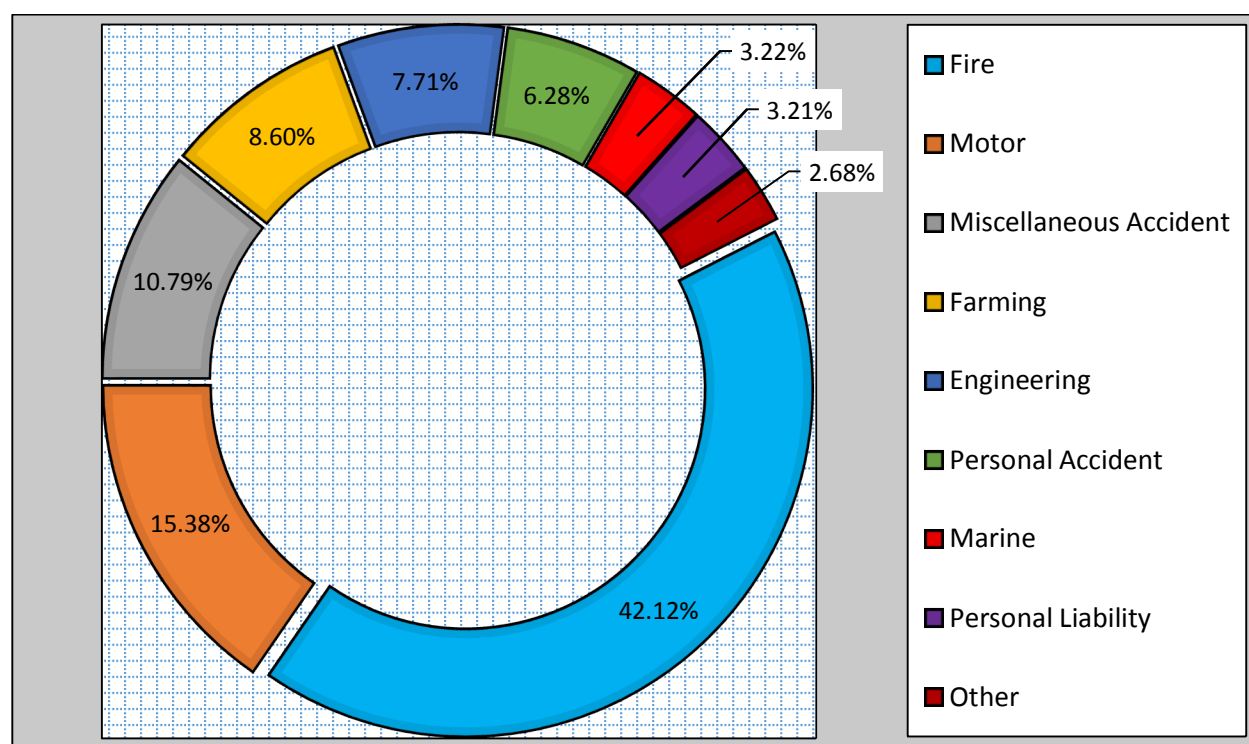
Personal Liability and engineering reinsurance remained the fastest growing business classes in terms of GPW for the period under review as shown in Table 5 below. The growth in the two business classes was the major driver of total GPW.

Table 5: Reinsurers' Gross Premium Written by Class of Business

Class of Business	Gross Premium Written (\$)		Percentage Change
	30 Sep 2014	30 Sep 2015	
Aviation	571,236	820,624	43.66%
Bonds/Guarantee	1,223,030	752,782	-38.45%
Engineering	3,216,409	6,431,067	99.95%
Farming	7,340,604	7,170,285	-2.32%
Fire	34,381,528	35,116,686	2.14%
Hail	839,090	251,680	-70.01%
Health	386,583	319,378	-17.38%
Hire Purchase	64,804	87,972	35.75%
Marine	1,537,969	2,684,605	74.56%
Miscellaneous Accident	10,070,178	8,997,840	-10.65%
Motor	14,826,093	12,823,186	-13.51%
Personal Accident	4,872,374	5,235,663	7.46%
Personal Liability	688,156	2,680,039	289.45%
Total	80,018,054	83,371,807	4.19%

The business written by reinsurers remained skewed towards fire and motor insurance, with the two business classes accounting for a total of 57.5% of total gross premium written for the nine months ended 30 September 2015. The two business classes accounted for a total of 61.5% of total premium written for the nine months ended 30 September 2015. The distribution of business generated during the period under review across different lines of business is as shown in Figure 10 below.

Figure 10: Distribution of Reinsurers' GPW by Business Class



3.2. Capitalization

As at 30 September 2015, all operational non-life reinsurers were compliant with the minimum capital requirement of \$1.5 million stipulated in Statutory Instrument 21 of 2013. See Table 6 below which shows capital positions for all reinsurance companies. Notwithstanding the above position, the Commission requires that all reinsurance companies conduct self-assessment of their capital positions in line with Circular 1 of 2014 which becomes effective in its entirety on 1 January 2016. Such self-assessments will inform the need for any additional capital requirements on an ongoing basis.

The Commission will gazette a statutory instrument to operationalize the new minimum capital requirements of \$5 million announced by the Minister of Finance and Economic Development during the Mid-Year Fiscal Policy Review.

All short term reinsurers reported solvency margins which were compliant with the prudential minimum of 25% as at 30 September 2015. The industry average solvency margin for non-life reinsurers was 110.59% (see Appendix 2C for more information).

Table 6: Capital Positions for Non-life Reinsurers

Name of Company	Reported Capital Position (\$)			
	31 Dec 14	31 Mar 15	30 Jun 15	30 Sep 15
1. Baobab Reinsurance Company	26,648,670	31,124,285	30,617,357	32,409,344
2. Colonnade Reinsurance Company	1,443,929	1,978,286	2,078,059	2,121,168
3. FBC Reinsurance Company	10,272,398	10,828,377	11,080,697	11,022,630
4. FMRE Property & Casualty	6,189,045	6,363,028	6,262,748	6,142,739
5. Grand Reinsurance Company	9,806,817	10,061,215	10,288,856	10,400,588
6. Tropical Reinsurance Company	3,635,764	4,017,640	3,931,290	4,010,510
7. ZB Reinsurance Company	8,370,397	8,675,530	9,240,360	9,269,310
8. PTA Reinsurance Company (Zep Re)	1,233,794	2,207,447	2,898,862	3,530,448

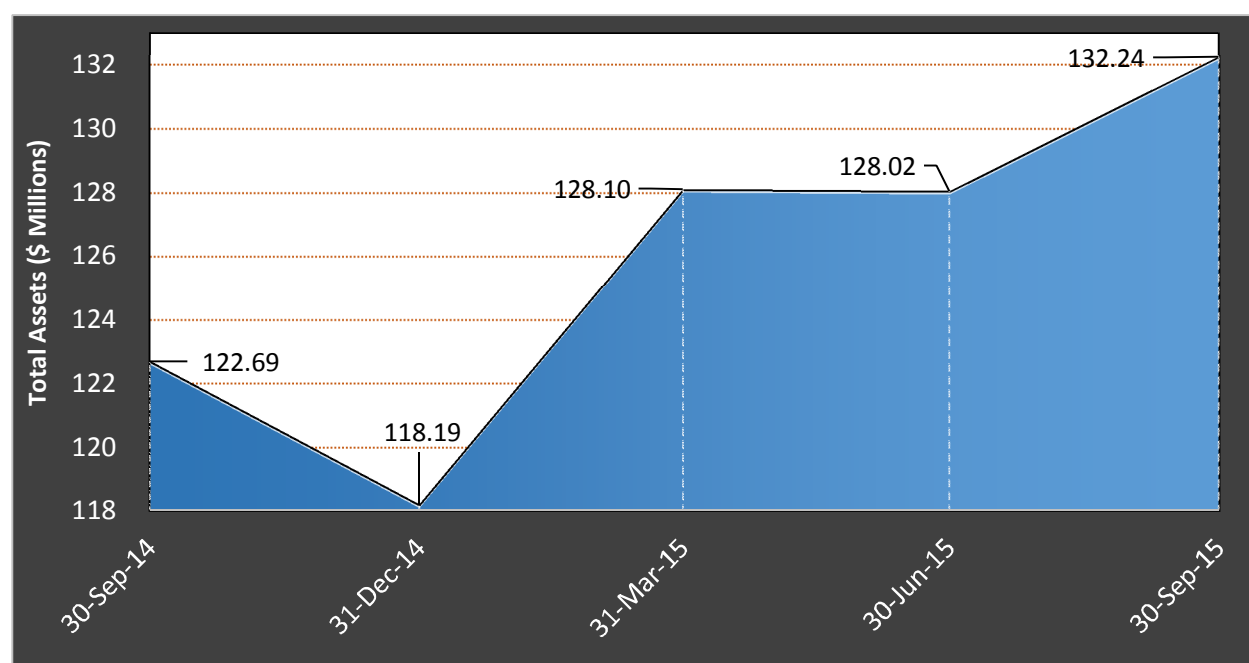
Key:

	The reinsurer reported a capital position that was compliant with the then minimum capital requirement of \$1.5 million.
	The insurer reported a capital position which was not compliant with the then minimum capital requirement.

3.3. Asset Quality

As shown in Figure 11 below the asset base for non-life reinsurers increased by 1.84% from \$128.02 million as at 30 June 2015 to \$132.24 million as at 30 September 2015.

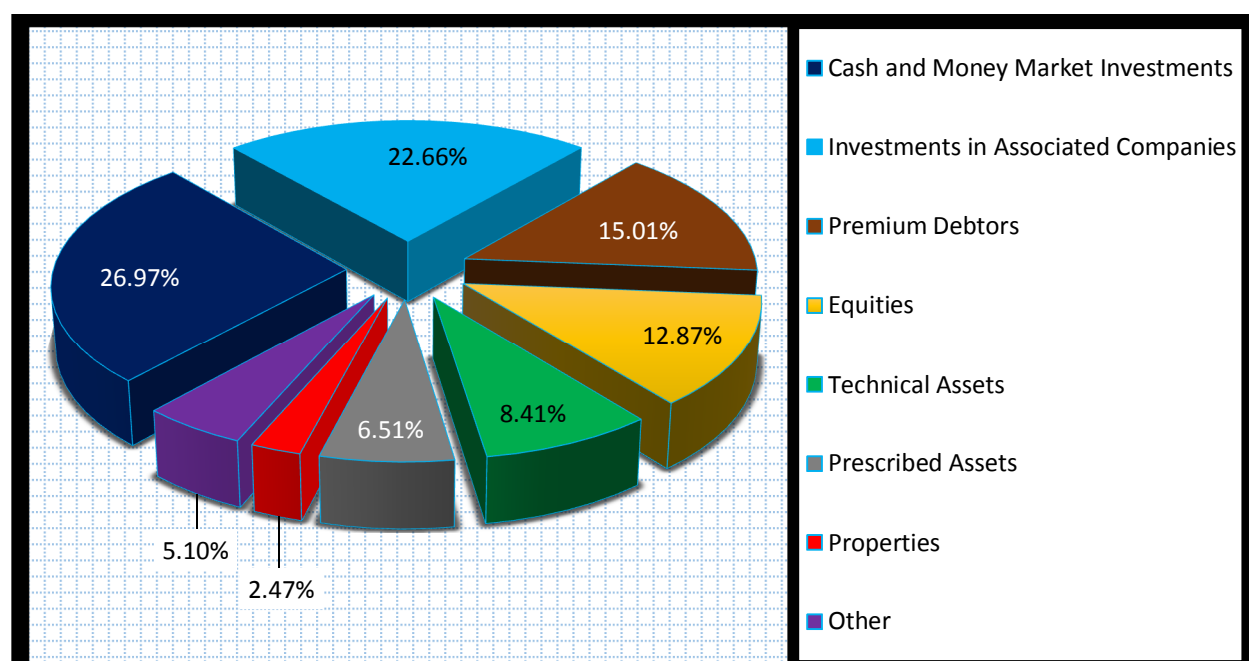
Figure 11: Trend in Total Assets



The increase in total assets for reinsurers was mainly attributable to the growth in retrocessionaires' share of outstanding claims as well as improved uptake of prescribed assets which amounted to \$2.14 million and \$1.89 million respectively.

Cash, money market investments as well as investments in associated companies remained the dominant asset classes for non-life reinsurers. These asset classes were totaling \$64.71 million as at 30 September 2015, and accounted for of 49.63% of total assets as shown in Figure 12 below. Having a significant proportion of assets tied up in investments in subsidiaries as well as premium debtors may compromise the reinsurers' ability to adequately match their liabilities using their assets since the said asset classes are less liquid. On the other hand, premium debtors imply that reinsurers may be losing on the income that they would have generated had the premiums been remitted and invested.

Figure 12: Breakdown of Non-life Reinsurers' Total Assets

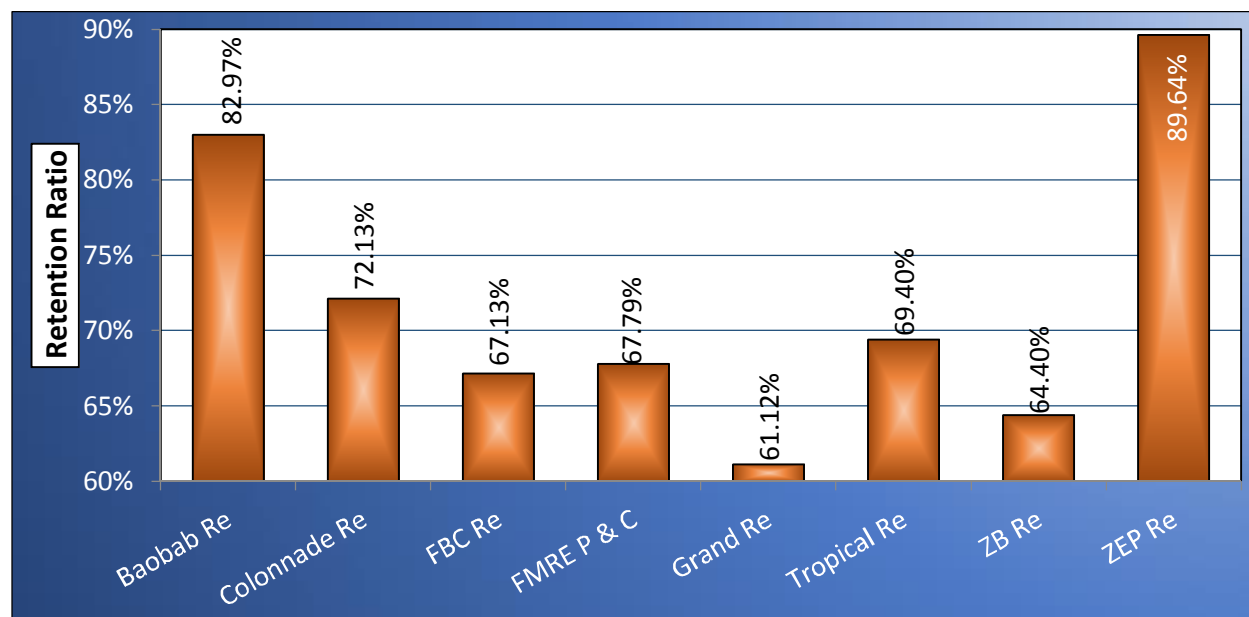


Although the industry average prescribed assets ratio of 6.51% as at 30 September 2015 showed an improvement from 5.15% reported as at 30 June 2015 and was compliant with the minimum requirement of 5%, three reinsurers were not compliant with the minimum prescribed asset ratio. (See Appendix 2C for prescribed assets ratio and other key performance indicators in terms of asset quality).

3.4. Retrocession

Non-life reinsurers reported an industry average retention ratio of 69.89% for the nine months ended 30 September 2015, reflecting a marginal decrease from 71.10% reported for the comparative period in 2014. The retention ratios for individual reinsurers for the period under review ranged from 61.12% to 89.64% as shown in Figure 13 below.

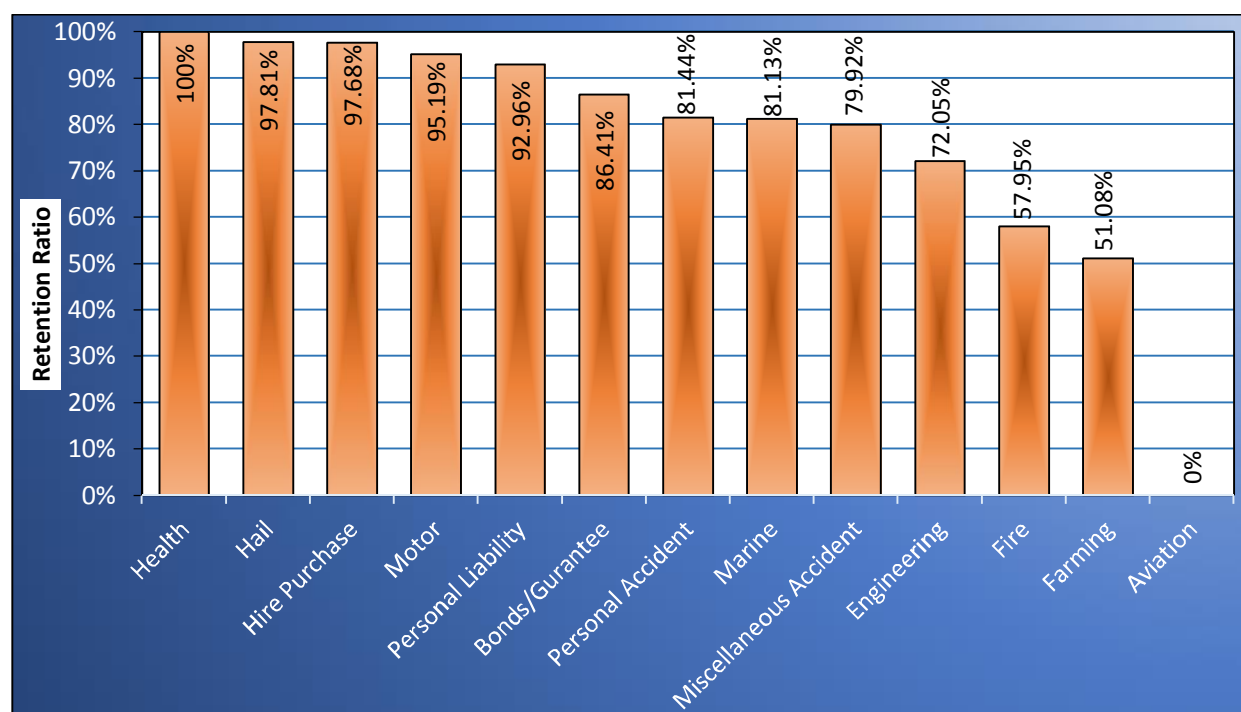
Figure 13: Retention Ratios for Reinsurers



Non-life reinsurers recorded the highest retention ratios in health and hail insurance as shown in Figure 14 below. However, these business classes accounted for negligible proportions of total business written hence the impact of their high retentions on the overall business is insignificant. On the other hand, aviation remained the business class with the lowest retention ratio owing to huge sums insured in that class of business.

Total retrocession creditors accounted for 41.36% of total retrocession premiums for the nine months period ended 30 September 2015 compared to 42.93% reported for the comparative period in 2014. This may be an indication that retrocession premium remittances improved marginally. Notwithstanding the marginal improvements some reinsurers reported huge ratios of retrocession creditors to reinsurance premium as evidenced the same ratio ranging from nil to 567.36% for individual reinsurers. Having high ratios of retrocession creditors to retrocession premiums may compromise the reinsurer's retrocession arrangements.

Figure 14: Retention Ratios by Class of Insurance Business



3.5. Actuarial Matters

Total technical liabilities amounted to \$29.88 million as at 30 September 2015, reflecting a 1.28% decrease from \$30.27 million that was reported as at 30 June 2015. The decrease in total technical liabilities was driven by a decline in net outstanding claims as well as the running down of Unearned Premium Reserves (UPR). This is considered usual as insurance policies age towards the end of their respective terms. The technical liabilities were mainly skewed towards UPR which amounted to \$16.33 million as at 30 September 2015 and accounted for 54.63% of total reserves.

The non-life reinsurance industry as a whole had adequate resources to match the technical liabilities as at 30 September 2015. This is evidenced by the reported cash and money market investments (including prescribed assets) which amounted to \$43.64 million *vis-à-vis* total technical liabilities of \$29.88 million. This translated into an industry average total technical liabilities (reserves) to investments ratio of 49.46%. Only one reinsurer was in breach of the prudential maximum threshold with the same ratio ranging from 22.82% to 171.11% for individual reinsurers (See Appendix 2C).

3.6. Earnings

Non-life reinsurers reported a whopping 156.43% increase in profit after tax from \$1.39 million for the nine months ended 30 September 2014 to \$3.56 million for the nine months period under review. The increase in total profit after tax was mainly attributable to increasing business volumes coupled with decreasing net claims incurred as well as growing investment income. The total profit after tax translated into industry average return on equity (ROE) and return on assets (ROA) of 4.52% and 2.73% for the nine months period ended 30 September 2015 which compared favourably with 2.05% and 1.13% respectively, reported in the comparative period in 2014.

The major income driver for non-life reinsurers remained underwriting which is commendable since underwriting is the core business of reinsurers. Investment income accounted for only 2.91% of net premium written, which proportion was considered to be too low to supplement underwriting income.

Total underwriting profits for reinsurers increased from \$2.23 million for the nine months ended 30 September 2014 to \$2.90 million for the period under review mainly owing to a decrease in net claims incurred already alluded to above. The increase in underwriting profits translated into a combined ratio of 94.81% for the nine months ended 30 September 2015 which compares favourably with 95.99% reported for the comparative period in 2014. Non-life reinsurers reported a marked improvement in the industry average loss ratio from 42.65% for the nine months ended 30 September 2014 to 38.05% for the period under review.

Aviation, hail and health reinsurance reported the highest loss plus commission ratios during the period under review as shown in Table 7 below. Notwithstanding this observation, the two business classes did not record significant proportions of business, hence the impact of their high loss and commission ratios on the overall profitability was negligible. Engineering, marine and personal liability reinsurance were the most profitable classes of business in terms of the loss plus commission ratios as evidenced by the lowest ratios shown in Table 7 below. Table 7 below shows the loss and commission ratios recorded under different classes of business for the period under review.

Table 7: Loss Ratios by Class of Business for Reinsurers

Business Class	Loss Ratio	Net Commission Ratio	Loss + Commission Ratio
Aviation	178.81%	180.23%	359.04%
Hail	229.50%	30.44%	259.94%
Health	148.43%	8.80%	157.23%
Bonds/Guarantees	75.59%	53.29%	128.88%
Farming	69.58%	30.51%	100.09%
Motor	69.88%	29.68%	99.56%
Miscellaneous Accident	63.99%	31.93%	95.92%
Hire Purchase	42.42%	28.71%	71.13%
Personal Accident	32.56%	27.92%	60.48%
Fire	10.86%	32.52%	43.38%
Engineering	14.84%	15.74%	30.58%
Marine	7.59%	22.33%	29.92%
Personal Liability	12.56%	14.15%	26.71%
Industry Average	38.05%	28.83%	66.88%

3.7. Liquidity

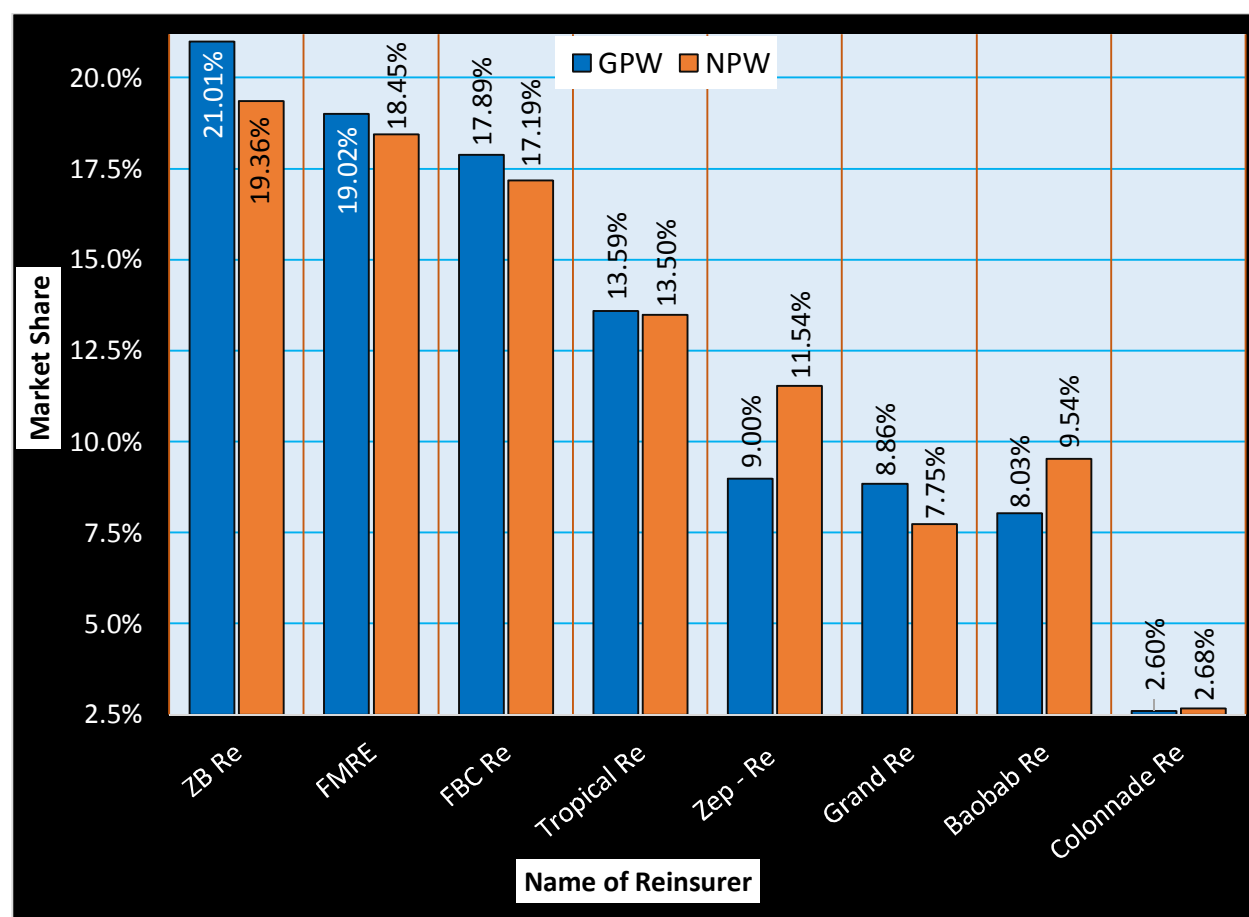
Total liquid assets for non-life reinsurers amounted to \$43.64 million as at 30 September 2015, reflecting a 5.17% increase from \$41.50 million that was reported as at 30 June 2015. Notwithstanding the increase in the total liquid assets, the overall liquidity of the non-life reinsurance industry deteriorated marginally during the quarter ended 30 September 2015. This is evidenced by the decrease in the industry average acid test ratio from 80.38% as at 30 June 2015 to 76.69% as at 30 September 2015. The industry average acid test ratio of 76.69% means that on average, for every dollar of current liabilities, the non-life reinsurance industry had approximately seventy seven cents readily available to liquidate the same current liabilities should the need arise. The acid test ratio for individual reinsurers as at 30 September 2015 ranged from 23.84% to 216.11% (see Appendix 2C under Liquidity). The Commission noted with concern that liquidity of the reinsurance industry was concentrated mainly in FBC Reinsurance Company and ZB Reinsurance Company which accounted for a total of 49.63% of total liquid assets.

3.8. Market Share for Reinsurers

The non-life reinsurance industry was considered moderately concentrated as evidenced by a Herfindahl Index of 0.15 recorded in terms of both gross premium written and net premium written for the nine months ended 30 September 2015.

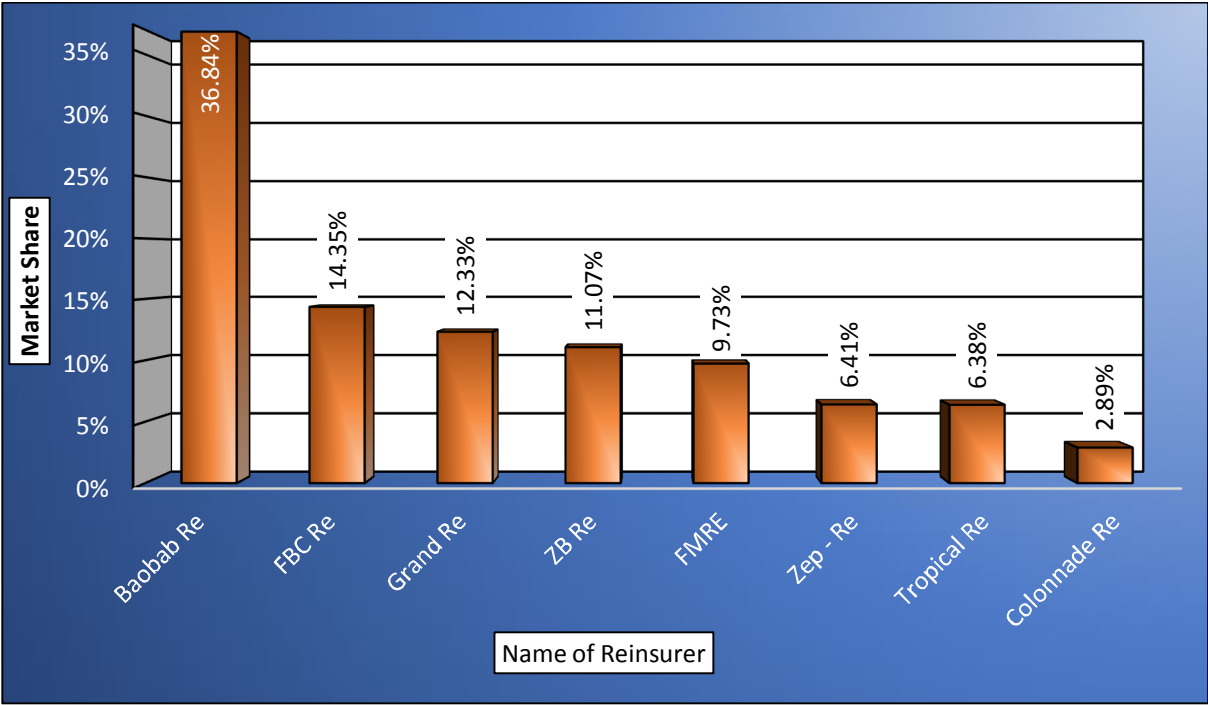
As shown in Figure 15 below, ZB Reinsurance Company, FMRE Property and Casualty, and FBC Reinsurance Company remained the market leaders in terms of both GPW and NPW with combined market shares of 57.92% and 55% respectively.

Figure 15: Market Share for Reinsurers in Terms of GPW and NPW



On the other hand, Baobab Reinsurance Company, FBC Reinsurance Company and Grand Reinsurance Company remained the market leaders, in terms of total assets with a combined market share of 63.52% as at 30 September 2015. Figure 16 below shows the market share of all reinsurers in terms of total assets.

Figure 16: Market Share for Reinsurers in Terms of Total Assets



SECTION C

4. INSURANCE BROKERS

Please note that Alexander Forbes Risk Zimbabwe changed its name to WFDR Risk Services.

4.1 Business Written

Insurance brokers recorded a 9.69% increase in total premium written from \$63.78 million for the nine months ended 30 September 2014 to \$69.96 million for the comparative period in 2015. The total premium written by insurance brokers accounted for 45.55% of gross premium written by direct non-life insurers.

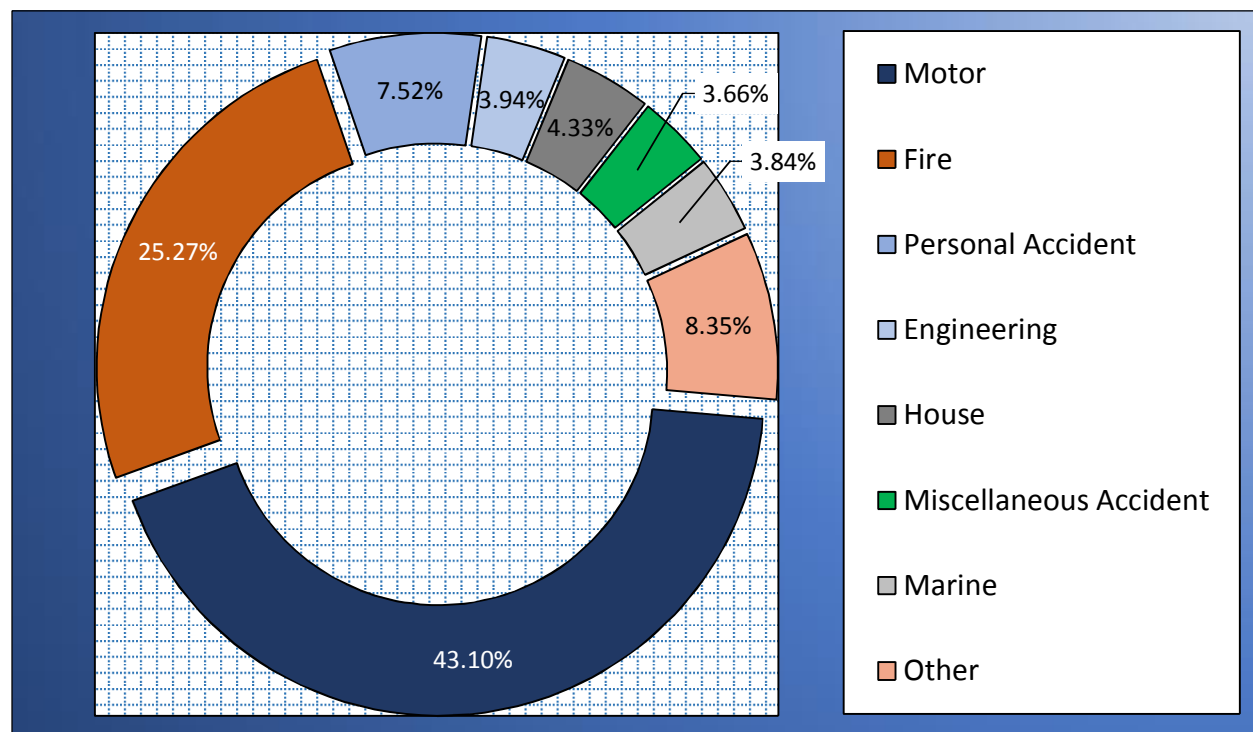
Insurance brokers generated total net brokerage commission amounting to \$12.70 million during the nine months ended 30 September 2015 compared to \$11.87 million reported for the comparative period in 2014. This translated into an industry average net brokerage commission of 18.15% for the period under review which shows a marginal decrease from 18.61% reported in the nine months ended 30 September 2014. Table 8 below shows the indicators of the business written by the insurance brokers.

Table 8: Indicators of Business Written for Insurance Brokers

Indicator	30 Sep 2014	30 Sep 2015	Percentage Change
Premium Written	63,778,876	69,959,928	9.69%
Brokerage Commission	11,867,501	12,701,131	7.02%
Premium Written Less Commission	51,911,374	57,258,798	10.30%
Commission Incurred	673,447	440,931	-34.53%
Net Brokerage Commission	11,194,055	12,260,199	9.52%
Other Income	1,041,053	705,236	-32.26%
Operating Expenses	11,312,714	11,554,133	2.13%
Profit Before Tax	922,394	1,411,302	53.00%
Taxation	234,559	313,659	33.72%
Profit After Tax	687,835	1,097,643	59.58%

In tandem with the position reported by non-life insurance and reinsurance companies, motor and fire insurance were the dominant business classes accounting for a total of 68.37% of total premium written by insurance brokers. Figure 17 below shows the distribution of business in terms of total premium written.

Figure 17: Distribution of Insurance Brokers' Gross Premium Written by Business Class



4.2 Capitalization

All insurance brokers except, Rainbow Insurance Brokers reported capital positions which were above \$100,000. The capital positions for the individual insurance brokers ranged from negative \$12,770 to \$975,518 as shown in Table 9 below.

Table 9: Reported Capital Levels for Insurance Brokers

Name Insurance Broker	31-Dec-14	31-Mar-15	30-Jun-15	30-Sep-15
1. Ambassador Insurance Brokers	128,036	129,020	128,587	129,855
2. Amour Khan Insurance Brokers	142,604	141,641	136,877	136,819
3. Auto & General Insurance Brokers	437,600	427,800	428,482	429,467
4. Broksure Insurance Brokers	98,037	100,531	100,931	102,417
5. Capitol Insurance Brokers	583,788	605,544	602,691	627,679
6. Care Insurance Brokers	169,394	185,846	227,658	201,776
7. Coverlink Insurance Brokers		78,594	46,529	106,489
8. Eaton & Youngs (Private) Limited	420,066	423,482	477,750	554,349
9. Eureka Insurance Brokers	287,425	245,638	284,486	242,405
10. Glenrand MIB Zimbabwe	189,347	121,560	124,582	139,779

Name Insurance Broker	31-Dec-14	31-Mar-15	30-Jun-15	30-Sep-15
11. Goldstick Insurance Brokers	151,647	124,291	124,503	255,034
12. Hostcare Insurance Brokers	145,741	144,967	144,533	146,935
13. HRIB (Private) Limited	327,588	395,743	434,997	350,737
14. Hunt Adams & Associates	113,012	122,190	139,308	241,851
15. Insuraserive (Private) Limited	165,819	173,395	195,122	239,445
16. L. A. Guard Insurance Brokers	183,482	178,673	194,165	229,419
17. Marsh Insurance Brokers	909,286	877,637	729,666	975,518
18. Minerva Risk Solutions	530,258	500,981	383,960	466,075
19. Momentum Insurance Brokers	351,267	434,374	435,374	453,009
20. Nationwide Insurance Brokers				123,370
21. Paul Mkondo Insurance Brokers	190,165	178,887	174,254	161,661
22. Perpro Insurance Brokers	170,648	162,442	164,308	175,820
23. Progressive Insurance Brokers	722,682	732,463	762,808	750,371
24. Rainbow Insurance Brokers	13,100	14,514	(1,570)	12,770
25. SATIB Insurance Brokers	176,637	224,184	243,153	300,020
26. TIB Insurance Brokers	101,770	115,490	118,450	103,165
27. Victory Insurance Brokers	406,900	345,153	416,085	423,547
28. WFDR Risk Services	522,148	534,864	541,789	407,343
29. Zimbabwe Insurance Brokers	227,655	211,513	209,370	202,858

Key:

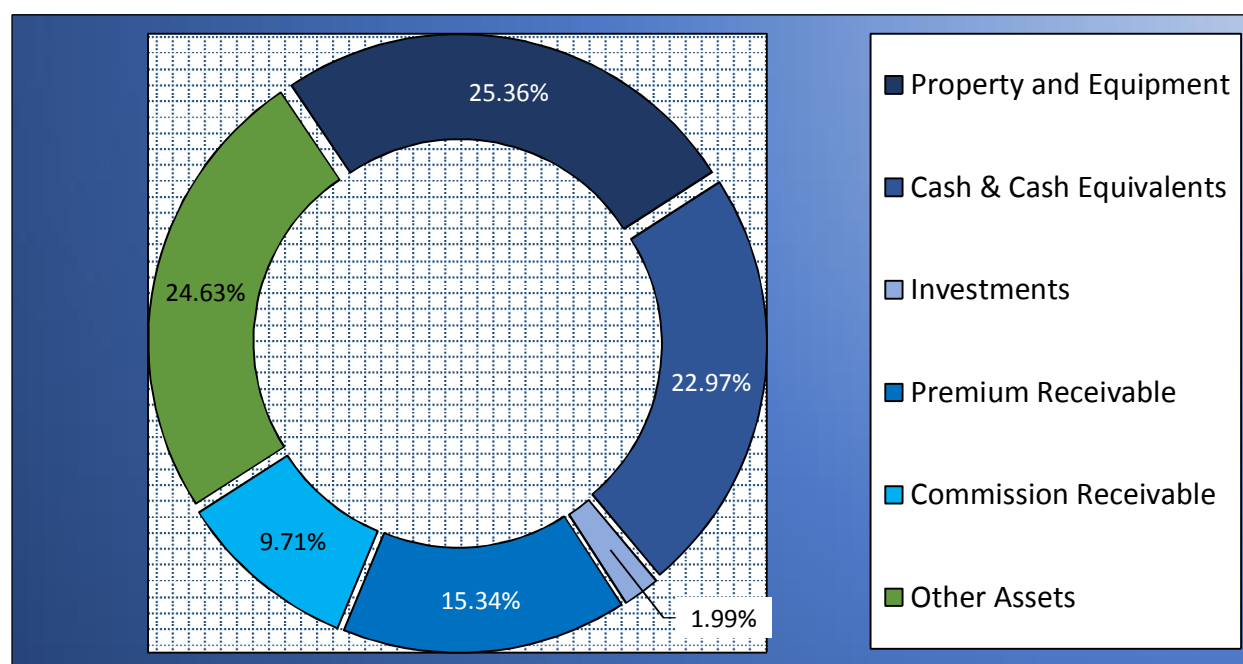
	The insurance broker reported a capital position that was above \$100,000.
	The insurance broker reported a capital position that was below \$100,000.

4.3 Asset Quality

The asset base for insurance brokers shrunk by 2.31% from \$27.32 million as at 30 June 2015, to \$26.70 million as at 30 September 2015. The shrinkage was mainly attributable to decreasing commission receivable from \$3.70 million as at 30 June 2015 to \$2.59 million as at 30 September 2015.

The asset base for insurance brokers remained skewed towards property and equipment, as well as cash and cash equivalents which together accounted for a total of 48.33% of total assets as shown in Figure 18 below.

Figure 18: Distribution of Insurance Brokers' Total Assets



4.4 Earnings

Insurance brokers reported a whopping 59.58% increase in total profit after tax from \$687,835 for the nine months ended 30 September 2014 to \$1.10 million for the nine months period under review. The increase in profit after tax was mainly attributable to an increase in net brokerage income from \$11.19 million for the nine months ended 30 September 2014 to \$12.26 million for the period under review. The industry average return on equity (ROE) and return on assets (ROA) for the period under review were 12.73% and 4.11% respectively.

4.5 Market Share for Insurance Brokers

Insurance brokers recorded a Herfindahl Index of 0.1 and 0.09 in terms of total premium income and net brokerage commission for the nine months ended 30 September 2015 respectively. Based on these herfindahl indices, the insurance brokers market was considered moderately concentrated in terms total premium, and unconcentrated in terms of net brokerage commission. Minerva Risk Solutions, Marsh Insurance Brokers Zimbabwe and Eaton & Youngs were the market leaders in terms of business written as shown in Figure 19 below. On the other hand, Minerva Risk Solutions and Progressive Insurance Brokers were the market leaders in terms of total assets as shown in Figure 20 below.

Figure 19: Market Share in Terms of Net Brokerage Income and Premium Written

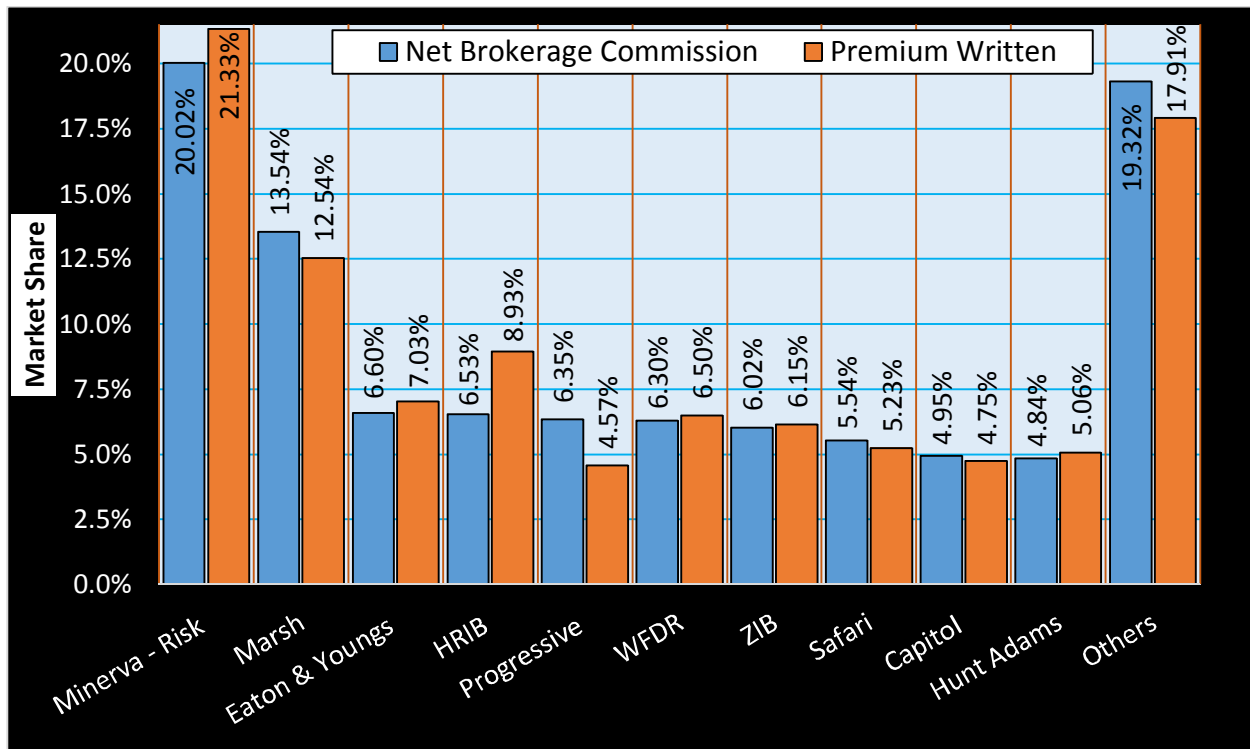
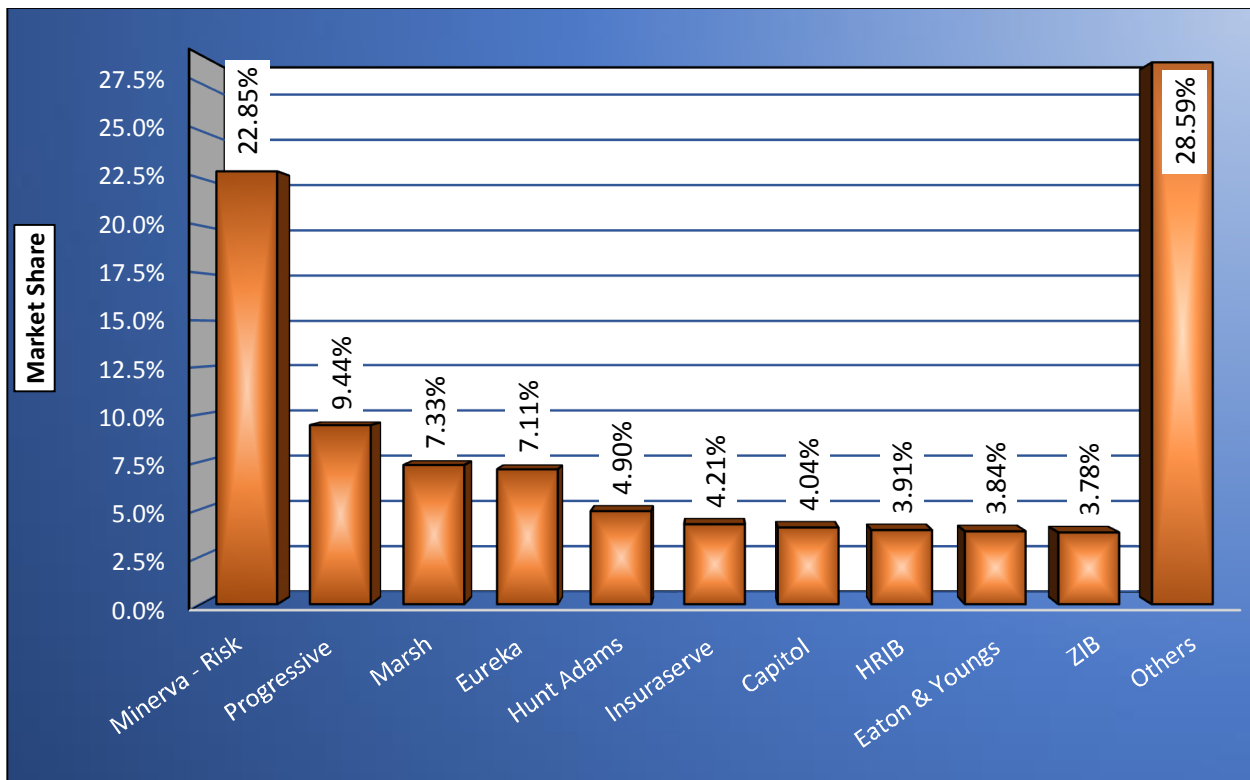


Figure 20: Market Share for Insurance Brokers in Terms of Total Assets



SECTION D
5. REINSURANCE BROKERS

5.1 Business Written

Total premium written by reinsurance brokers for the nine months ended 30 September 2015 amounted to \$51.77 million compared to \$47.18 million reported in the comparative period in 2014. Reinsurance brokers were the major producers for reinsurance companies. This is evidenced by the fact that total premium written by reinsurance brokers accounted for 62.09% of gross premium written by non-life reinsurers. Total brokerage commission for the period under review amounted to \$10.48 million and translated into an industry average commission rate of 20.24%. Table 10 below shows the indicators of the business written by the reinsurance brokers.

Table 10: Indicators of Business Written for Reinsurance Brokers

Indicator	30 Sep 2014	30 Sep 2015	Percentage Change
Premium Written	47,177,325	51,766,564	9.73%
Brokerage Commission	10,496,214	10,479,934	-0.16%
Premium Written Less Commission	36,681,112	41,286,629	12.56%
Commission Paid	8,338,125	8,062,924	-3.30%
Net Brokerage Commission	2,158,089	2,417,010	12.00%
Other Income	43,092	65,309	51.56%
Operating Expenses	1,432,088	1,677,008	17.10%
Profit Before Tax	769,093	805,311	4.71%
Taxation	215,581	240,281	11.46%
Profit After Tax	553,512	565,030	2.08%

5.2 Capitalization

As at 30 September 2015, all the registered reinsurance brokers, except Marsh Insurance Brokers reported capital positions which were above \$100,000. Table 11 below shows the capital positions for all reinsurance brokers.

Table 11: Capital Levels for Reinsurance Brokers

Name of Company	Reported Capital Position (\$)			
	31 Dec 2014	31 Mar 2015	30 Jun 2015	30 Jun 2015
1. Afro-Asian Reinsurance Brokers	34,580	21,031	2,822	139,857
2. Classic Reinsurance Brokers			122,172	121,699
3. Marsh Insurance Brokers				11,896
4. Minerva Re (Private) Limited	1,148,561	1,374,678	1,574,836	1,753,749
5. Pan African Re	450,661	502,279	576,814	567,131
6. Reinsurance Brokers International	88,327	184,711	176,948	140,829

5.3 Asset Quality

Total assets for reinsurance brokers decreased from \$15.41 million as at 30 June 2015 to \$13.52 million as at 30 September 2015. The decrease in total assets was mainly attributable to a decline in premiums receivable, a trend which is normal for most insurance contracts as they move towards the end of their term. The asset base of reinsurance brokers remained skewed towards premium receivables which accounted for 75.50% of total assets notwithstanding the decline in the same asset class.

5.4 Earnings for Reinsurance Brokers

Total profit after tax for reinsurance brokers increased by 2.08% from \$553,512 for the nine months ended 30 September 2014 to \$565,030 for the nine months period ended 30 September 2015. The increase in profit after tax was mainly driven by the growth in net brokerage income from \$2.16 million for the nine months ended 30 September 2014 to \$2.42 million for the period under review. The industry average return on equity (ROE) and return on assets (ROA) for the period under review were 20.66% and 4.18% respectively.

5.5 Market Share for Reinsurance Brokers

There were not significant changes in the market shares of reinsurance brokers with Minerva Reinsurance Brokers remaining the market leader in terms of premium written, net brokerage commission as well as total assets as shown in Table 12 below.

Table 12: Market Share for Reinsurance Brokers

Name of Reinsurance Broker	Premium Written	Net Brokerage Commission	Total Assets
1. Minerva Re (Private) Limited	71.11%	78.94%	83.48%
2. Pan African Reinsurance Brokers	20.26%	15.11%	13.42%
3. Reinsurance Brokers International	5.16%	4.10%	3.10%
4. Marsh	3.13%	1.54%	0.28%
5. Afro-Asian Reinsurance Brokers	0.33%	0.31%	1.39%
6. Classic Reinsurance Brokers	-	-	0.90%
Total	100%	100%	100%

SECTION E

6. APPENDICES

Appendix 1A: Statement of Comprehensive Income for Non-life Insurers \$('000)

	Alliance	Allied	C.B.Z	Cell Insurance Company		Champions	Clarion	Credsurre	Eagle	Evolution	ECGC	Hamiltor	Heritage	Nicoz Diamond	Old Mutual	Quality	Regal	Safel	Sanctuary	THI	Tristar	Zimnat Lion	Total
				Promoter	Cell Business																		
Gross Premium Written	18,082	876	8,042	15,880	3,620	7,013	2,370	2,003	12,958	2,811	19	1,718	3,168	20,683	27,072	626	1,048	489	1,555	1,091	3,442	19,034	153,601
Reinsurance Premium	10,238	211	4,154	12,355	-	1,798	252	745	6,422	1,311	-	789	1,118	7,663	7,351	242	8	42	205	782	1,724	9,750	67,158
Net Premium Written	7,844	665	3,888	3,526	3,620	5,215	2,119	1,258	6,536	1,500	19	929	2,051	13,020	19,721	384	1,040	447	1,350	310	1,718	9,284	86,443
Increase/(Decrease) in UPR	(1,668)	149	184	(44)	132	119	(590)	(36)	(394)	(95)	1	(63)	(561)	568	394	(326)	5	11	65	(1,011)	(292)	852	(2,599)
Net Earned Premium	9,513	515	3,705	3,569	3,488	5,097	2,709	1,294	6,930	1,595	18	992	2,612	12,452	19,327	710	1,034	436	1,285	1,320	2,010	8,432	89,042
Net Incurred Claims	5,134	140	1,274	1,774	967	722	1,487	727	3,434	744	(215)	185	1,118	6,618	9,049	236	169	28	429	125	803	3,630	38,578
Net Commission Incurred	779	57	66	(126)	-	571	199	(79)	673	296	-	84	361	1,260	1,747	89	109	76	17	219	117	985	7,499
Technical Result	3,600	318	2,364	1,922	2,521	3,804	1,023	647	2,823	554	233	723	1,132	4,574	8,531	385	756	331	839	977	1,091	3,817	42,965
Operating Expenses	3,353	445	1,397	2,210	2,371	3,614	1,223	1,165	2,420	442	1,205	515	1,284	4,497	4,613	500	520	285	915	800	1,550	2,903	38,227
Underwriting Result	247	(127)	967	(289)	150	190	(200)	(518)	403	112	(972)	208	(152)	77	3,918	(115)	237	47	(76)	176	(459)	914	4,738
Investment Income	384	2	277	11	127	-	3	29	326	13	74	2	241	290	1,042	25	0	5	61	158	(15)	98	3,150
Unrealised Gains/(Losses)	-	(13)	(41)	(24)	(43)	-	121	(34)	-	-	-	2	(8)	-	(317)	(89)	-	-	-	(2,705)	(587)	(33)	(3,772)
Other Income/(Expenses)	357	82	12	741	(105)	372	-	-	14	1	24	(55)	6	92	(108)	-	1	-	88	85	142	-	1,750
Profit/(Loss) Before Tax	987	(57)	1,215	439	129	562	(77)	(524)	743	126	(874)	157	87	459	4,536	(179)	238	51	73	(2,286)	(919)	979	5,866
Taxation	254	(15)	243	-	-	186	(20)	(135)	191	2	-	1	-	74	1,263	21	69	13	-	(301)	-	367	2,214
Profit/(Loss) After Tax	733	(42)	972	439	129	376	(57)	(389)	551	125	(874)	156	87	385	3,273	(200)	169	38	73	(1,985)	(919)	611	3,652
Dividends	255	-	-	-	-	-	-	-	139	-	-	-	-	286	-	-	-	-	-	-	-	-	679
Retained Income	479	(42)	972	439	129	376	(57)	(389)	413	125	(874)	156	87	99	3,273	(200)	169	38	73	(1,985)	(919)	611	2,972

Appendix 1B: Statements of Financial Position for Non-life Insurers US\$'000																							
	Alliance	Allied	C.B.Z	Cell Insurance Company		Champions	Clarion	Credsura	Eagle	Evolution	ECGC	Hamiltor	Heritage	Nicoz	Old	Quality	Regal	Safel	Sanctuary	THI	Tristar	Zimnat	Total
				Promoter	Cell Business									Diamond	Mutual								
ASSETS																							
Non-Current Assets																							
Fixed Assets	4,977	1,545	340	646	-	1,384	1,250	2,179	2,992	781	374	2,098	3,438	5,989	898	366	2,246	1,732	1,099	1,124	134	661	36,254
Long Term Investments	598	65	207	77	161	580	121	85	117	972	-	17	452	972	1,943	1,010	68	-	6	1,069	1,122	768	10,411
Investments in Associated Companies	522	-	-	560	-	813	-	-	-	-	-	-	2,299	2,995	-	-	-	-	-	-	-	1,245	8,433
Other Non-Current Assets	79	-	58	-	-	-	-	106	-	-	-	-	-	-	-	4	-	-	-	299	-	388	934
	6,176	1,609	606	1,284	161	2,777	1,371	2,370	3,109	1,753	374	2,115	6,188	9,956	2,841	1,380	2,314	1,732	1,105	2,492	1,256	3,062	56,032
Technical Assets																							
Reinsurers' Share of O/S Claims	11,453	29	215	-	-	606	190	679	320	16	-	100	-	-	726	47	0	3	-	25	106	2,302	16,818
Deferred Acquisition Cost	408	74	27	47	-	98	27	49	119	23	-	29	319	940	876	54	16	6	23	28	46	317	3,527
	11,861	103	242	47	-	703	217	727	439	39	-	129	319	940	1,602	101	16	9	23	54	152	2,620	20,345
Current Assets																							
Cash & cash equivalents	166	37	226	1,000	1,512	269	51	92	318	655	108	91	86	4,492	5,078	35	200	25	23	50	65	365	14,946
Money Market Investments	3,428	203	3,931	2	1,958	53	378	159	2,343	-	-	-	-	-	13,571	-	-	-	843	134	392	2,805	30,199
Current Prescribed Assets	264	-	610	-	-	17	-	-	2,000	75	2,100	20	-	570	1,364	38	-	-	50	-	195	251	7,555
Premium Receivables	3,524	527	2,003	1,172	18	678	745	722	1,860	250	4	1,130	903	4,909	2,169	39	-	29	629	495	1,387	5,162	28,355
Other Current Assets	2,606	188	32	1,744	-	1,341	1,028	495	847	374	1	92	95	2,518	911	77	984	-	155	156	581	1,250	15,474
	9,987	955	6,803	3,919	3,488	2,358	2,202	1,468	7,369	1,355	2,213	1,334	1,084	12,489	23,093	189	1,184	54	1,700	834	2,620	9,833	96,530
TOTAL ASSETS	28,024	2,668	7,651	5,250	3,649	5,838	3,790	4,565	10,918	3,147	2,587	3,578	7,591	23,385	27,536	1,670	3,514	1,795	2,829	3,380	4,029	15,515	172,907
LIABILITIES																							
Deferred Tax Liabilities	-	72	(198)	(309)	-	10	38	-	572	(1)	1	-	506	118	-	(94)	-	-	-	-	-	905	1,621
Long Term loan	-	-	-	-	-	-	128	-	-	-	-	-	-	71	-	-	-	-	-	-	-	300	499
Current Tax provisions	254	23	98	317	-	153	38	(80)	10	81	-	2	-	240	294	96	191	13	-	110	44	4	1,889
Gross Outstanding Claims	12,446	102	601	402	188	787	1,159	1,005	1,494	185	100	300	927	2,820	2,321	56	49	28	43	95	172	2,751	28,032
IBNR	6,074	33	194	419	-	261	85	85	444	97	2	74	460	652	1,776	12	84	8	161	15	116	676	11,728
UPR	2,041	375	2,016	996	795	488	530	412	810	146	4	146	1,034	4,707	4,382	276	178	24	235	163	903	3,585	24,244
Reinsurance & Other Creditors	2,244	331	406	1,882	-	1,809	161	721	3,449	457	190	604	1,646	1,521	-	84	8	77	198	537	1,317	1,928	19,571
Other Liabilities	-	50	568	-	-	54	95	131	841	531	42	136	812	2,342	754	62	252	-	465	678	743	35	8,592
TOTAL LIABILITIES	23,059	986	3,686	3,706	983	3,562	2,234	2,275	7,620	1,496	340	1,263	5,385	12,471	9,527	492	762	150	1,102	1,599	3,295	10,184	96,176
SHAREHOLDERS' EQUITY																							
Issued Share Capital	301	30	77	620	-	382	1,300	2	1	120	1,500	500	1,950	2,834	300	130	1,860	1,700	100	1,000	2	553	15,260
Share Premium	-	1,090	1,430	-	-	-	-	1,824	2,800	-	1,303	1,500	-	3,291	-	90	-	-	2,152	-	4,153	-	19,634
Revaluation & Other Reserves	1,141	-	-	804	-	3	112	353	406	7	695	1,367	29	61	2,342	73	243	-	105	587	498	1,241	10,068
Retained Profit	3,523	561	2,459	119	2,666	1,892	144	110	91	1,523	(1,252)	(1,051)	227	4,728	15,367	885	649	(54)	(631)	195	(3,918)	3,537	31,769
Shareholders's Equity	4,964	1,681	3,966	1,543	2,666	2,276	1,556	2,290	3,298	1,651	2,247	2,315	2,206	10,914	18,009	1,178	2,752	1,645	1,727	1,781	734	5,330	76,730
TOTAL EQUITY & LIABILITIES	28,024	2,668	7,651	5,250	3,649	5,838	3,790	4,565	10,918	3,147	2,587	3,578	7,591	23,385	27,536	1,670	3,514	1,795	2,829	3,380	4,029	15,515	172,907

Appendix 1C: Key Performance Indicators for Non-life Insurers																							
	Alliance	Allied	C.B.Z	Cell	Champions	Clarion	Credsure	Eagle	Evolution	ECGC	Hamilton	Heritage	Nicoz Diamond	Old Mutual	Quality	Regal	Safel	Sanctuary	THI	Tristar	Zimnat Lion	Total/ Average	
Capital Adequacy																							
Capital Position (\$000)	4,964	1,681	3,966	1,543	2,276	1,556	2,290	3,298	1,651	2,247	2,315	2,206	10,914	18,009	1,178	2,752	1,645	1,727	1,781	734	5,330	3,488	
Capital Maintenance Ratio (CMR)	161.60%	112.10%	264.37%	102.90%	135.61%	103.73%	152.64%	150.35%	110.05%	149.79%	154.35%	147.08%	266.72%	318.65%	78.53%	183.48%	109.70%	115.11%	118.74%	48.94%	200.67%	232.52%	
Equity/Total Assets Ratio	17.72%	63.04%	51.83%	29.40%	38.99%	41.06%	50.15%	30.21%	52.45%	86.87%	64.71%	29.06%	46.67%	65.40%	70.54%	78.33%	91.65%	61.05%	52.70%	18.22%	34.36%	44.38%	
Solvency Margin	40.40%	246.44%	85.25%	31.06%	33.90%	38.26%	115.01%	37.59%	85.01%	258.49%	176.62%	38.06%	66.68%	79.66%	122.71%	178.74%	368.29%	127.94%	54.55%	20.56%	50.17%	65.22%	
Asset Quality																							
Total Assets (\$000)	28,024	2,668	7,651	5,250	5,838	3,790	4,565	10,918	3,147	2,587	3,578	7,591	23,385	27,536	1,670	3,514	1,795	2,829	3,380	4,029	15,515	172,907	
Investments to Assets	15.90%	11.42%	65.02%	20.57%	15.73%	14.51%	7.37%	43.77%	54.09%	85.35%	3.60%	7.09%	25.80%	79.74%	64.85%	7.63%	1.40%	32.61%	37.07%	44.06%	27.00%	36.50%	
Non-Profitable Assets/Total Assets	82.24%	88.58%	34.98%	68.77%	70.35%	85.49%	92.63%	56.23%	45.91%	14.65%	96.40%	62.63%	61.39%	20.26%	35.15%	92.37%	98.60%	67.39%	62.93%	55.94%	64.97%	58.62%	
Fixed Assets/Total Assets	17.76%	57.91%	4.45%	12.31%	23.71%	32.98%	47.73%	27.40%	24.82%	14.45%	58.63%	45.29%	25.61%	3.26%	21.92%	63.93%	96.47%	38.85%	33.27%	3.32%	4.26%	20.97%	
Prescribed Assets Ratio	0.94%	0.00%	7.97%	0.00%	0.29%	0.00%	0.00%	18.32%	2.38%	81.19%	0.56%	0.00%	2.44%	4.96%	2.28%	0.00%	0.00%	1.77%	0.00%	4.85%	1.62%	4.37%	
Premium Debtors/Gross Premium	19.49%	60.14%	24.91%	7.38%	9.67%	31.43%	36.02%	14.36%	8.91%	21.16%	65.81%	28.48%	23.73%	8.01%	6.23%	0.00%	5.96%	40.48%	45.34%	40.29%	27.12%	18.46%	
Premium Debtors/Total Assets	12.57%	19.74%	26.18%	22.32%	11.62%	19.66%	15.81%	17.04%	7.96%	0.16%	31.59%	11.89%	20.99%	7.88%	2.34%	0.00%	1.62%	22.25%	14.64%	34.42%	33.27%	16.40%	
Reinsurance																							
Risk Retention Ratio	43.38%	75.91%	48.35%	22.20%	74.37%	89.37%	62.81%	50.44%	53.35%	100.00%	54.06%	64.73%	62.95%	72.85%	61.34%	99.22%	91.38%	86.81%	28.39%	49.90%	48.78%	56.28%	
Reinsurance Creditors/Reinsurance Premium	21.92%	156.97%	9.78%	15.23%	100.63%	63.92%	96.81%	53.71%	34.86%	0.00%	76.57%	147.27%	19.85%	0.00%	34.71%	100.00%	183.33%	96.78%	68.68%	76.36%	19.77%	29.14%	
Reinsurers' Share of O/S Claims to O/S Claims	92.02%	28.76%	35.73%	0.00%	76.97%	16.39%	67.50%	21.43%	8.56%	0.00%	33.34%	0.00%	0.00%	31.28%	83.93%	0.53%	11.92%	0.00%	26.76%	61.88%	83.68%	60.00%	
Reinsurers Debtors/Reinsurance Creditors	510.41%	8.83%	52.90%	0.00%	33.48%	118.01%	94.08%	9.28%	3.46%	0.00%	16.57%	0.00%	0.00%	0.00%	55.95%	3.13%	4.37%	0.00%	4.73%	8.08%	119.43%	85.94%	
Actuarial																							
UPR (\$000)	2,041	375	2,016	996	488	530	412	810	146	4	146	1,034	4,707	4,382	276	178	24	235	163	903	3,585	24,244	
IBNR (\$000)	6,074	33	194	419	261	85	85	444	97	2	74	460	652	1,776	12	84	8	161	15	116	676	11,728	
Net Outstanding Claims	993	72	386	402	181	969	327	1,174	169	100	200	927	2,820	1,595	9	49	25	43	69	66	449	11,214	
Investment Assets/Total Reserves	48.92%	63.42%	191.60%	59.43%	98.74%	34.73%	40.85%	196.85%	413.23%	2076.12%	30.62%	22.23%	73.77%	283.19%	364.65%	86.47%	44.75%	210.27%	505.87%	163.69%	88.94%	133.75%	
Investments/(Outstanding Claims+IBNR)	63.04%	288.13%	856.39%	131.57%	207.79%	52.17%	81.73%	295.36%	640.79%	2165.86%	46.91%	38.80%	173.79%	651.35%	5157.14%	202.54%	77.45%	452.15%	1474.89%	975.85%	372.38%	275.09%	
Total Reserves/Assets	32.50%	18.00%	33.94%	34.61%	15.93%	41.79%	18.05%	22.24%	13.09%	4.11%	11.75%	31.89%	34.98%	28.16%	17.78%	8.82%	3.13%	15.51%	7.33%	26.92%	30.36%	27.29%	
Earnings																							
Profit After Tax (\$000)	733	(42)	972	439	376	(57)	(389)	551	125	(874)	156	87	385	3,273	(200)	169	38	73	(1,985)	(919)	611	3,652	
Return on Equity	15.28%	-2.48%	31.91%	22.65%	17.01%	-4.01%	-15.91%	13.59%	7.85%	-60.09%	7.00%	3.21%	3.54%	20.18%	-14.94%	6.04%	2.30%	4.47%	-60.02%	-80.05%	12.05%	4.79%	
Return on Assets	2.82%	-1.58%	14.77%	7.95%	5.83%	-1.48%	-8.08%	4.88%	4.26%	-45.71%	4.59%	1.05%	1.71%	12.99%	-10.48%	4.79%	2.16%	2.89%	-27.60%	-19.02%	4.10%	2.13%	
Loss Ratio	53.97%	27.19%	34.40%	49.70%	14.17%	54.88%	56.16%	49.55%	46.68%	-1188.35%	18.67%	42.81%	53.15%	46.82%	33.24%	16.31%	6.51%	33.36%	9.46%	39.94%	43.05%	43.33%	
Net Commission Ratio	8.19%	11.14%	1.79%	-3.54%	11.20%	7.36%	-6.14%	9.71%	18.58%	0.00%	8.44%	13.83%	10.12%	9.04%	12.54%	10.56%	17.41%	1.29%	16.58%	5.80%	11.69%	8.42%	
Net Expense Ratio	35.25%	86.41%	37.70%	61.93%	70.91%	45.15%	90.04%	34.92%	27.72%	6672.81%	51.91%	49.17%	36.11%	23.87%	70.42%	50.23%	65.35%	71.24%	60.61%	77.10%	34.43%	42.93%	
Combined Ratio	97.40%	124.73%	73.89%	108.08%	96.27%	107.40%	140.06%	94.18%	92.98%	5484.46%	79.03%	105.81%	99.38%	79.73%	116.20%	77.10%	89.27%	105.90%	86.65%	122.84%	89.16%	94.68%	
Underwriting Margin	2.60%	-24.73%	26.11%	-8.08%	3.73%	-7.40%	-40.06%	5.82%	7.02%	-5384.46%	20.97%	-5.81%	0.62%	20.27%	-16.20%	22.90%	10.73%	-5.90%	13.35%	-22.84%	10.84%	5.32%	
Investment Income/NPW Ratio	4.89%	-1.75%	6.06%	-0.39%	0.00%	5.84%	-0.41%	4.98%	0.87%	382.31%	0.43%	11.35%	2.23%	3.68%	-16.67%	0.01%	1.01%	4.49%	-822.22%	-35.07%	0.70%	-0.72%	
Investment Income/Total Financial Assets	7.59%	-3.15%	4.55%	-1.18%	0.00%	18.42%	-1.21%	6.65%	0.49%	3.34%	2.70%	23.52%	4.14%	3.04%	-3.06%	0.02%	17.96%	6.53%	-109.74%	-20.79%	1.31%	-0.85%	
Liquidity																							
Working Capital (\$000)	(1,212)	123	3,928	260	(447)	408	51	1,029	429	1,915	336	(3,170)	3,371	15,922	(140)	690	(87)	1,086	(32)	221	2,603	29,789	
Current ratio	94.75%	113.10%	225.99%	107.01%	87.26%	120.29%	102.36%	115.18%	144.48%	744.24%	129.80%	30.68%	133.52%	281.49%	67.44%	235.52%	42.24%	270.50%	96.51%	108.64%	126.43%	134.21%	
Acid Test ratio	16.92%	26.31%	157.88%	29.57%	10.09%	21.75%	11.30%	68.86%	82.61%	742.52%	9.91%	1.89%	51.56%	236.03%	21.86%	62.83%	18.38%	143.76%	22.73%	26.03%	34.75%	61.86%	
Market Share of Total Liquid Assets	7.32%	0.46%	9.05%	1.90%	0.64%	0.81%	0.48%	8.84%	1.39%	4.19%	0.21%	0.16%	9.61%	37.98%	0.14%	0.38%	0.05%	1.74%	0.35%	1.24%	6.49%	100%	
Market Shares																							
Market Share Based on GWP	11.77%	0.57%	5.24%	12.70%	4.57%	1.54%	1.30%	8.44%	1.83%	0.01%	1.12%	2.06%	13.47%	17.62%	0.41%	0.68%	0.32%	1.01%	0.71%	2.24%	12.39%	100%	
Market Share Based on NWP	9.07%	0.77%	4.50%	8.27%	6.03%	2.45%	1.46%	7.56%	1.73%	0.02%	1.07%	2.37%	15.06%	22.81%	0.44%	1.20%	0.52%	1.56%	0.36%	1.99%	10.74%	100%	
Market Share Based on Total Assets	16.21%	1.54%	4.42%	5.15%	3.38%	2.19%	2.64%	6.31%	1.82%	1.50%	2.07%	4.39%	13.52%	15.93%	0.97%	2.03%	1.04%	1.64%	1.95%	2.33%	8.97%	100%	

Appendix 2A: Statement of Comprehensive Income-Reinsurers U\$ '000									
	Baobab Re	Colonnade Re	FBC Re	FMRE	Grand Re	Tropical Re	ZB Re	Zep - Re	Total
Gross Written Premiums	6,698	2,164	14,919	15,857	7,384	11,333	17,516	7,501	83,372
Reinsurance Premiums	1,140	603	4,904	5,107	2,870	3,469	6,235	777	25,106
Net Written Premiums	5,557	1,561	10,015	10,750	4,513	7,865	11,281	6,724	58,266
Unearned Premium	270	(59)	529	455	824	336	377	(319)	2,413
Net Earned Premiums	5,287	1,621	9,486	10,294	3,689	7,529	10,904	7,043	55,852
Net Incurred Claims	2,187	97	3,419	4,669	986	3,727	4,691	1,475	21,250
Net Commission Incurred	1,232	280	3,200	2,767	1,042	2,197	3,208	2,173	16,100
Technical Result	1,869	1,243	2,867	2,858	1,661	1,605	3,005	3,396	18,502
Operating Expenses	4,894	757	2,051	2,402	1,053	1,109	1,995	1,340	15,602
Underwriting Result	(3,025)	486	816	456	607	496	1,009	2,055	2,900
Investment									
Investment Income	682	27	739	304	(14)	192	604	241	2,775
Unrealised Gains/Losses	203	-	(233)	(724)	-	0	(323)	-	(1,078)
Other Income	-	8	47	(10)	-	71	-	-	116
Profit Before Tax	(2,141)	521	1,368	25	594	760	1,291	2,297	4,714
Taxation	-	134	352	72	-	202	392	-	1,151
Profit After Tax	(2,141)	387	1,016	(46)	594	558	899	2,297	3,563
Dividends	-	-	266	-	-	183	-	-	449
Retained Income	(2,141)	387	750	(46)	594	375	899	2,297	3,114

Appendix 2B: Statement of Financial Position-Reinsurers US\$'000									
	Baobab Re	Colonnade Re	FBC Re	FMRE	Grand Re	Tropical Re	ZB Re	Zep - Re	Total
ASSETS									
Non-Current Assets									
Fixed Assets	228	808	306	211	115	601	565	393	3,225
Investments	3,975	37	1,404	1,408	8,740	14	1,204	-	16,782
Investments in Associated Companies	28,306	-	491	-	-	750	-	-	29,547
Other Non-Current Assets	57	25	808	-	140	244	-	-	1,275
	32,565	871	3,009	1,619	8,995	1,609	1,768	393	50,829
Technical Assets									
Reinsurers' Share of O/S Claims	2,189	171	1,127	539	1,865	422	-	-	6,314
Deferred Acquisition Cost (DAC)	749	(9)	1,036	930	979	333	-	632	4,650
	2,938	162	2,164	1,469	2,844	755	-	632	10,964
Current Assets									
Cash & cash equivalents	4,937	36	9,379	4,413	1,563	63	9,402	1,467	31,260
Money Market Investments	601	355	-	-	-	2,945	-	-	3,901
Current Prescribed Assets	529	60	2,128	800	63	559	750	3,596	8,484
Premium Receivables	3,007	2,061	1,806	3,875	2,564	2,109	2,062	2,087	19,571
Inventory and Other Debtors	3,459	230	222	513	43	275	453	179	5,375
	12,532	2,742	13,535	9,601	4,234	5,951	12,667	7,328	68,591
TOTAL ASSETS	48,036	3,774	18,708	12,689	16,073	8,315	14,436	8,353	130,384
Liabilities									
Deferred Tax Liabilities	(1,858)	4	(237)	497	1	-	119	-	(1,474)
Long term loan	-	-	-	-	150	-	-	-	150
Current Tax provisions	177	63	(50)	-	-	100	451	-	741
Gross Outstanding Claims	4,956	344	2,178	927	2,249	1,018	240	1,331	13,244
IBNR	325	78	794	1,377	277	774	1,538	1,466	6,629
UPR	1,996	583	3,549	3,092	1,705	1,665	1,709	2,025	16,325
Retrocession Creditors	6,470	567	886	654	904	610	293	-	10,384
Other Creditors	3,560	14	564	-	386	137	816	-	5,478
Total Liabilities	15,626	1,653	7,685	6,547	5,672	4,305	5,166	4,823	51,477
SHAREHOLDERS' EQUITY									
Share Capital	600	9	800	1	400	0	5	-	1,815
Share Premium	32,226	1,047	4,803	3,934	-	410	2,495	-	44,915
Revaluation & Other Reserves	8,431	317	70	254	5,260	-	11	-	14,342
Retained Profit	(8,848)	749	5,349	1,954	4,741	3,601	6,759	3,530	17,835
Shareholders's Equity	32,409	2,121	11,023	6,143	10,401	4,011	9,269	3,530	78,907
TOTAL EQUITY & LIABILITIES	48,036	3,774	18,708	12,689	16,073	8,315	14,436	8,353	130,384

Appendix 2C: Key Performance Indicators for Reinsurers									
	Baobab Re	Colonnade Re	FBC Re	FMRE	Grand Re	Tropical Re	ZB Re	Zep - Re	Total/ Average
Indicator									
Capital Adequacy									
Capital Position (\$ 000)	32,409	2,121	11,023	6,143	10,401	4,011	9,269	3,530	9,863
Capital Maintenance Ratio (CMR)	1872.65%	141.41%	388.60%	177.51%	693.37%	157.00%	294.19%	153.78%	442.37%
Equity/Total Assets Ratio	67.47%	56.20%	58.92%	48.41%	64.71%	48.23%	64.21%	42.27%	60.52%
Solvency Margin	468.16%	80.25%	97.15%	44.38%	226.55%	39.25%	73.55%	38.45%	110.59%
Asset Quality									
Total Assets (\$ 000)	48,036	3,774	18,708	12,689	16,073	8,315	14,436	8,353	130,384
Investments to Assets	20.90%	12.92%	69.01%	52.18%	64.50%	43.06%	78.67%	60.61%	69.01%
Fixed Assets/Total Assets	0.47%	21.42%	1.63%	1.66%	0.71%	7.22%	3.91%	4.70%	2.47%
Prescribed Assets Ratio	1.10%	1.59%	11.38%	6.30%	0.39%	6.72%	5.20%	43.05%	6.51%
Premium Debtors/Gross Premium	44.90%	95.24%	12.11%	24.44%	34.73%	18.61%	11.77%	27.82%	23.47%
Premium Debtors/Total Assets	6.26%	54.62%	9.65%	30.54%	15.95%	25.36%	14.29%	24.98%	15.01%
Retrocession									
Risk Retention Ratio	82.97%	72.13%	67.13%	67.79%	61.12%	69.40%	64.40%	89.64%	69.89%
Retrocession Creditors/Retrocession Premium	567.36%	93.93%	18.08%	12.81%	31.51%	17.58%	4.70%	0.00%	41.36%
Retrocessionaires' Share of O/S Claims to O/S	44.17%	49.63%	51.75%	58.22%	82.95%	41.41%	0.00%	0.00%	47.67%
Actuarial									
UPR	1,996	583	3,549	3,092	1,705	1,665	1,709	2,025	16,325
IBNR	325	78	794	1,377	277	774	1,538	1,466	6,629
Net Outstanding Claims	2,767	173	1,051	387	384	597	240	1,331	6,930
Total Reserves/Investment Assets	50.68%	171.11%	41.78%	73.34%	22.82%	84.79%	30.70%	95.25%	49.46%
(Outstanding Claims+IBNR)/Investments	52.60%	86.60%	23.02%	34.79%	24.36%	50.06%	15.65%	55.26%	32.89%
Total Reserves/Total Assets	10.59%	22.11%	28.83%	38.27%	14.72%	36.51%	24.15%	57.73%	22.92%
Earnings									
Profit After Tax	(2,141)	387	1,016	(46)	594	558	899	2,297	3,563
Return on Equity	-6.61%	18.24%	9.22%	-0.75%	5.71%	13.91%	9.70%	65.05%	4.52%
Return on Assets	-4.46%	10.25%	5.43%	-0.36%	3.69%	6.71%	6.23%	27.49%	2.73%
Loss Ratio	41.36%	5.98%	36.04%	45.36%	26.73%	49.50%	43.02%	20.94%	38.05%
Net Commission Ratio	23.30%	17.31%	33.74%	26.88%	28.24%	29.18%	29.42%	30.85%	28.83%
Net Expense Ratio	92.56%	46.71%	21.62%	23.33%	28.56%	14.73%	18.30%	19.03%	27.93%
Combined Ratio	157.22%	70.00%	91.40%	95.57%	83.54%	93.41%	90.74%	70.82%	94.81%
Investment Income/NPW Ratio	15.91%	1.73%	5.05%	-3.92%	-0.30%	2.45%	2.49%	3.59%	2.91%
Investment Income/Total Financial Assets	8.81%	5.55%	3.92%	-6.36%	-0.13%	5.37%	2.48%	4.77%	2.81%
Liquidity									
Working Capital	3,404	1,265	8,578	4,524	1,942	2,538	8,317	3,138	33,705
Current ratio	128.21%	177.18%	220.46%	169.10%	137.80%	160.90%	291.17%	165.07%	173.51%
Acid Test ratio	45.90%	23.84%	131.71%	67.41%	30.44%	72.17%	216.11%	30.41%	76.69%
Market Share of Total Liquid Assets	13.90%	1.03%	26.36%	11.94%	3.73%	8.17%	23.26%	11.60%	100%
Market Shares									
Market Share Based on GPW	8.03%	2.60%	17.89%	19.02%	8.86%	13.59%	21.01%	9.00%	100%
Market Share Based on NPW	9.54%	2.68%	17.19%	18.45%	7.75%	13.50%	19.36%	11.54%	100%
Market Share Based on Total Assets	36.84%	2.89%	14.35%	9.73%	12.33%	6.38%	11.07%	6.41%	100%

Appendix 3A: Statement of Comprehensive Income for Brokers US'000

	Ambassador	Armour Khan	Auto & General	Broksure	Capitol	Care	Coverlink	Eaton & Youngs	Eureka	Glenrand	Goldstick	Hostcare	HRIB	Hunt Adams	Insuraserve	L.A. Guard	Marsh	Minerva - Risk Solutions	Momentum	Nationwide	Paul Mkondo	Perpro	Progressive	Rainbow	SATIB	TIB	Victory	WFDR Risk Services	ZIB	Total
Premium Written	55	492	135	250	3,325	972	12	4,918	1,651	1,914	443	19	6,252	3,541	1,692	256	8,778	14,927	1,802	297	38	295	3,177	47	3,659	1,477	684	4,548	4,304	69,960
Premium Payable	46	424	119	201	2,719	813	10	4,074	1,198	1,562	372	14	5,149	2,934	1,417	211	7,110	12,471	1,486	230	30	259	2,381	41	2,980	1,151	555	3,739	3,565	57,259
Brokerage Commission	9	69	16	49	607	159	2	844	452	352	70	5	1,103	607	275	45	1,668	2,456	316	67	8	37	796	7	679	326	129	809	739	12,701
less Commission paid	-	-	4	-	-	-	0	35	-	-	10	-	303	14	-	-	7	-	-	-	4	8	21	-	-	-	-	36	-	441
Net Brokerage Commission	9	69	12	49	607	159	2	809	452	352	60	5	800	593	275	45	1,660	2,456	316	67	5	29	775	7	679	326	129	773	739	12,260
Other Income	5	-	36	-	-	-	0	82	18	7	-	11	2	21	35	3	15	(16)	83	-	46	155	0	-	10	9	25	73	83	705
Admin Expenses	11	62	48	47	553	159	12	710	544	347	49	16	709	607	219	24	1,160	2,206	332	46	53	178	784	9	508	339	124	850	851	11,554
Profit Before Tax	2	7	1	2	54	0	(10)	181	(73)	12	12	1	93	7	92	24	515	233	67	21	(2)	6	(9)	(2)	182	(3)	30	(5)	(29)	1,411
Taxation	0	2	0	-	19	0	-	50	-	-	0	0	24	-	24	-	110	60	20	-	-	1	-	-	-	-	9	2	(9)	314
Profit after Tax	2	5	0	2	35	0	(10)	131	(73)	12	11	1	69	7	68	24	405	173	47	21	(2)	5	(9)	(2)	182	(3)	21	(7)	(20)	1,098

APPENDIX 3B: STATEMENT OF FINANCIAL POSITION-US\$('000)																														
	Ambassador	Armour Khan	Auto & General	Broksure	Capitol	Care	Coverlink	Eaton & Youngs	Eureka	Glenrand	Goldstick	Hostcare	HRIB	Hunt Adams	Insuraverse	LA Guard	Marsh	Minerva - Risk Solutions	Momentum	Nationwide	Paul Mkondo	Perpro	Progressive	Rainbow	SATIB	TIB	Victory	WFDR Risk Services	ZIB	Total
Shareholder's Equity																														
Share Capital	128	32	310	20	116	77	28	100	50	50	0	5	1	1	0	100	5	0	100	102	20	40	120	15	0	50	200	835	50	2,556
Share Premium	-	-	84	68	-	37	83	-	-	-	-	-	-	275	-	-	-	-	-	-	126	-	-	-	-	-	166	-	-	839
Non-Distributable Reserves	-	100	35	12	121	75	-	82	10	20	151	141	10	262	-	105	412	1,492	319	-	18	20	100	-	50	-	-	-	192	3,728
Retained Income	2	5	0	2	391	13	(5)	372	182	70	104	1	340	(296)	239	24	558	(1,026)	34	21	(2)	116	530	(2)	250	53	57	(428)	(39)	1,567
shareholder's Equity	130	137	429	102	628	202	106	554	242	140	255	147	351	242	239	229	976	466	453	123	162	176	750	13	300	103	424	407	203	8,690
Current liabilities																														
Payable Premiums	46	492	-	101	289	-	1	461	78	127	-	8	306	411	603	93	406	4,256	368	-	20	-	974	-	286	209	13	251	381	10,181
Other	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Brokers commission payable	-	-	-	-	-	-	-	-	-	-	-	-	16	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	16
Provisions	-	-	-	-	48	-	-	10	-	26	-	-	94	-	-	-	-	140	-	-	-	-	-	-	-	-	-	-	-	318
Sundry creditors	-	-	-	-	-	1	-	-	-	43	-	-	3	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	20	67
Taxation	0	-	-	-	-	-	-	-	(27)	-	-	-	1	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(26)
Other	3	-	1	-	98	40	4	-	1,603	145	125	-	-	442	24	10	556	1,238	27	-	33	2	328	-	259	42	-	203	405	5,587
Total Current Liabilities	50	492	1	101	435	41	5	471	1,654	341	125	8	419	853	627	103	962	5,635	395	-	53	2	1,302	-	544	251	13	454	806	16,143
TOTAL LIABILITIES & EQUITY	180	629	431	203	1,079	243	144	1,025	1,897	481	380	159	1,043	1,309	1,216	332	1,957	6,101	950	123	214	187	2,519	427	895	355	437	861	1,009	26,787
Non - Current Assets																														
Property and Equipment	-	70	55	-	6	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	2	15	-	-	147
Land & Buildings	65	150	140	-	404	137	87	189	51	-	330	150	380	-	250	157	150	-	-	-	94	-	180	400	120	-	14	-	269	3,716
Furniture and Fittings	6	30	35	14	18	13	8	14	10	-	3	1	9	4	28	6	35	837	17	2	20	18	11	4	13	11	7	16	13	1,205
Motor Vehicles	27	20	86	20	17	-	31	-	34	26	17	-	238	83	34	31	9	131	71	-	9	42	14	15	-	27	32	107	14	1,136
Computer Equipment	6	10	6	15	1	4	5	-	4	-	2	-	36	4	9	2	6	44	2	1	1	5	12	4	8	5	8	13	28	241
Computer Software	-	5	2	0	-	-	-	-	-	-	-	-	-	-	-	-	0	53	-	-	-	-	1	-	-	-	6	-	12	79
Investments	-	10	35	27	51	-	-	20	14	-	-	-	-	-	7	1	-	-	139	-	24	-	21	-	-	-	136	-	47	531
Other	-	-	-	-	-	3	-	-	-	1	-	1	49	1	-	-	-	-	-	-	4	3	1	-	3	-	180	-	-	245
Total Non- Current Assets	105	295	359	77	497	157	132	222	112	26	352	152	712	93	327	197	201	1,066	229	3	151	68	240	423	143	46	397	135	383	7,300
Current Assets																														
Commission Receivable	-	151	4	-	-	50	-	-	-	-	-	3	190	-	-	-	251	-	176	-	-	-	1,462	2	-	-	13	-	291	2,592
Premium Receivables	-	-	-	-	-	-	-	-	-	171	-	-	-	-	-	-	-	3,634	-	-	-	-	-	-	291	-	-	-	-	4,096
Accured Investment Income	-	9	41	-	-	-	-	-	386	113	-	-	-	-	0	30	-	-	-	-	17	-	-	-	-	-	16	-	-	612
Other Debtors & Inventory	53	174	-	95	144	-	-	124	1,086	24	-	3	39	677	762	103	680	-	476	-	46	3	798	-	72	98	6	459	39	5,963
Cash & Cash Equivalents	22	-	28	30	438	36	12	680	313	147	28	0	102	540	127	2	825	1,400	69	121	0	115	19	3	388	211	4	267	296	6,224
Total Current Assets	75	334	72	126	582	86	12	804	1,785	454	28	7	331	1,216	889	136	1,756	5,035	721	121	63	118	2,278	5	752	309	39	726	627	19,487
TOTAL ASSETS	180	629	431	203	1,079	243	144	1,025	1,897	481	380	159	1,043	1,309	1,216	332	1,957	6,101	950	123	214	187	2,519	428	895	355	437	861	1,009	26,788

Appendix 4A: Statement of Comprehensive Income for Reinsurance Brokers (\$)

	Afro-Asian	Classic Re	Marsh	Minerva Re	Pan African	RBI	Total
Premium Written	169,972	-	1,621,586	36,811,538	10,489,941	2,673,527	51,766,564
Premium due to Reinsurers	162,474	-	1,124,646	27,300,296	10,124,726	2,574,488	41,286,629
Brokerage Commission	7,498	-	496,940	9,511,242	365,215	99,039	10,479,934
less Commission Paid	-	-	459,722	7,603,201	-	-	8,062,924
Net Brokerage Commission	7,498	-	37,218	1,908,041	365,215	99,039	2,417,010
Other Income	-	7,200		(3,219)	48,402	12,926	65,309
Administration Expenses	57,325	33,519	25,322	1,095,714	303,118	162,010	1,677,008
Profit before Tax	(49,826)	(26,319)	11,896	809,108	110,498	(50,045)	805,311
Taxation	-	-		208,345	31,936	-	240,281
Profit/(Loss) after Tax	(49,826)	(26,319)	11,896	600,763	78,562	(50,045)	565,030

Appendix 4B: Statement of Financial Position for Reinsurance Brokers (\$)

	Afro-Asian	Classic Re	Marsh	Minerva Re	Pan African	RBI	Total
Share Capital	20	10,000	-	4	1,000	200,000	211,024
Share Premium	246,598	90,000	-	-	70,000	-	406,598
Non-Distributable Reserves	29,438	48,018	-	-	-	121,171	198,627
Retained Income	(136,199)	(26,319)	11,896	1,753,745	496,131	(180,342)	1,918,912
Shareholder's Equity	139,857	121,699	11,896	1,753,749	567,131	140,829	2,735,160
Liabilities							
Current Liabilities							
Payable Premiums	48,163	-	-	9,160,867	1,070,710	166,110	10,445,850
Provisions	-	-	-	373,933	58,742	-	432,675
Sundry creditors	-	-	-	-	44,786	-	44,786
Other	-	-	26,354	-	73,548	111,857	211,759
Total Current Liabilities	48,163	-	26,354	9,534,800	1,247,786	277,967	11,135,070
TOTAL LIABILITIES & EQUITY	188,019	121,699	38,250	11,288,549	1,814,917	418,796	13,870,230
Land & Buildings	-	102,600	-	-	215,000	-	317,600
Furniture and Fittings	6,121	15,200	1,033	12,072	15,955	-	50,381
Motor Vehicles	9,750	-	-	-	60,217	-	69,967
Computer Equipment	1,258	1,350		3,307	11,240	915	18,070
Investments	-	-	-	-	-	72,688	72,689
Other	8,396	-	-	-	-	1,443	9,840
Total Non- Current Assets	25,526	119,150	1,033	15,948	321,456	397,168	734,572
Premium Receivable			-	9,576,908	633,043	-	10,209,951
Other Debtors & Inventory	550	1,500	37,217	1,091,459	219,800	66,661	1,417,187
Cash & Cash Equivalents	161,944	1,049		604,804	659,661	277,089	1,704,547
Total Current Assets	162,493	2,549	37,217	11,273,171	1,512,504	343,750	13,129,425
TOTAL ASSETS	188,019	121,699	38,250	11,288,550	1,814,916	418,796	13,522,262

Appendix 5: List of Registered Loss Assessors/Adjustors/Investigators as at 30 September 2015

Name	Address
1. Alpha & Omega Risk Management	26 Worcester Road, Eastlea, Harare
2. Autoplan Risk Management Consultancy	4338 Auckland Road, Southerton, Harare
3. Brilliant Assessors	35 Bold & Beautiful, 111A Fife Street, Bulawayo
4. Campbell & Prevost	113 Bishop Gaul Avenue, Kensington, Harare
5. Fornicle Risk Management Consultancy	11 Dendera Way, Zengeza 5, Chitungwiza
6. Golden Gate Risk and Loss Assessors	P.O. Box CY 620 Causeway, Harare
7. Guarantee Risk Management Consultancy	113 Bishop Gaul Avenue, Kensington, Harare
8. Lane Risk Management Consultancy	Suite 3 & 4 Stranchans Building Robert Mugabe
9. LM Consultancy (Pvt) Ltd	8-15 th Avenue, Mabelreign, Harare
10. Lycerine Risk Services International (Pvt) Ltd	Plot 1843 Westgate Bluffhill, Harare
11. Marin Assessors (Pvt) Ltd	16 Boscobel Drive West, Highlands, Harare
12. Markar Loss Assessors	IT Centre 117 Robert Mugabe Cnr. 3rd Harare
13. Millenium Risk Management Consultancy	113 Bishop Gaul Avenue, Kensington, Harare
14. Mornglows Assessors	3rd Floor, Pioneer House 8th Av/Fife St Bulawayo
15. New Generation Loss Adjusters	22 Brentwood Road, Riverside, Bulawayo
16. On Time Assessors (Pvt) Ltd	1409 Knowe, Norton
17. Persam Loss Assessors	40 Kwame Nkrumah, P.O. Box GT895, Harare
18. Ponnez Risk Management	7 Alfred Road, Greendale, Harare
19. Preferred Loss Assessors	27 George Silundika P.O. Box 6861, Harare
20. Tritate Risk Management Consultant	4414-62nd Crescent, Glenview 3, Harare
21. Vision Insurance Assessors	69 Samora Machel Avenue, Bard House, Harare
22. Wave Risk Management Consultancy	33 Avonlea Drive, Greencroft, Avonlea, Harare